

Samsung Biologics Co., Ltd.

Separate Financial Statements

December 31, 2025 and 2024

Samsung Biologics Co., Ltd.

Index

December 31, 2025 and 2024

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Independent Auditors' Report

Based on a report originally issued in Korean

To the Shareholders and Board of Directors of
Samsung Biologics Co., Ltd

Opinion

We have audited the separate financial statements of Samsung Biologics Co., Ltd ("the Company"), which comprise the separate statement of financial position as of December 31, 2025 and the separate statements of comprehensive income, changes in equity and cash flows for the year then ended, and notes, including material accounting policies.

In our opinion, the accompanying separate financial statements present fairly, in all material respects, the separate financial position of the Company as of December 31, 2025, and its separate financial performance and its separate cash flows for the year then ended in accordance with Korean International Financial Reporting Standards ("K-IFRS").

We also have audited, in accordance with Korean Standards on Auditing (KSAs), the Company's Internal Control over Financial Report ("ICFR") as of December 31, 2025 based on the criteria established in Conceptual Framework for Designing and Operating Internal Control over Financial Reporting issued by the Operating Committee of Internal Control over Financial Reporting in the Republic of Korea, and our report dated February 25, 2026 expressed an unmodified opinion on the effectiveness of the Company's internal control over financial reporting.

Basis for Opinion

We conducted our audit in accordance with KSAs. Our responsibilities under those standards are further described in the *Auditors' Responsibilities for the Audit of the Separate Financial Statements* section of our report. We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the separate financial statements in Republic of Korea, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matter

Without qualifying our opinion, we draw attention to the following:

Administrative lawsuit against a ruling of the Securities and Futures Commissions

As described in Note 35 to the separate financial statements, the Securities and Futures Commission (the "SFC") resolved to impose measures on the Company in relation to alleged errors in accounting for the Company's investment in Samsung Bioepis Co., Ltd. in the Company's financial statements for the period from 2012 to the first half of 2018.

The Company filed an application with the Seoul Administrative Court (the "Court") to suspend the measures imposed by the SFC and subsequently received a Court decision granting the suspension. In relation to this, the appeal and re-appeal filed by SFC were dismissed by the Seoul High Court and the Supreme Court, respectively. The Company submitted claims for cancellation of the measures and related administrative lawsuit is in progress. It is not possible to predict the outcome.

Key Audit Matter

Key audit matter is a matter that, in our professional judgment, was of most significance in our audit of the separate financial statements as of and for the year ended December 31, 2025. This matter was addressed in the context of our audit of the separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on this matter.

Revenue recognition of CMO batch sales

The Company is principally engaged in the contract manufacturing organization ("CMO") business, which involves the contract manufacturing of biopharmaceutical products. The CMO business consists of technology transfer procedures, regulatory approval processes, and commercial manufacturing processes. The Company recognizes revenue over the period during which control of the manufactured biopharmaceutical products is transferred to customers (see Note 2).



The timing of transfer of control for CMO batch sales may vary depending on the contractual terms agreed between the parties. Accordingly, we identified the appropriateness of the cut-off of revenue recognition for CMO batch sales as a significant risk. Given that the related amounts are material to the separate financial statements, we identified this matter as a key audit matter.

In relation to the Company's accounting for revenue recognition, our principal audit procedures included the following:

- Obtaining an understanding of the Company's processes related to CMO batch sales
- Evaluating the design and operating effectiveness of internal controls over the cut-off of CMO batch sales recognition
- Inspecting project-specific contracts to assess the appropriateness of the timing of revenue recognition
- Testing, on a sample basis, the appropriateness of the timing of revenue recognition for individual projects

Other Matters

The separate financial statements of the Company for the year ended 2024 were audited by another auditor who expressed an unmodified opinion on those statements on February 25, 2025.

The procedures and practices utilized in the Republic of Korea to audit such separate financial statements may differ from those generally accepted and applied in other countries.

Responsibilities of Management and Those Charged with Governance for the Separate Financial Statements

Management is responsible for the preparation and fair presentation of the separate financial statements in accordance with K-IFRS, and for such internal control as management determines is necessary to enable the preparation of separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the separate financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditors' Responsibilities for the Audit of the Separate Financial Statements

Our objectives are to obtain reasonable assurance about whether the separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with KSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these separate financial statements.

As part of an audit in accordance with KSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.
- Evaluate the appropriateness of accounting policies used in the preparation of the separate financial statements and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Company to cease to continue as a going concern.



- Evaluate the overall presentation, structure and content of the separate financial statements, including the disclosures, and whether the separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The engagement partner on the audit resulting in this independent auditors' report is Jae-Kwang Ra.

KPMG Samjong Accounting Corp.

Seoul, Korea
February 25, 2026

This report is effective as of February 25, 2026, the audit report date. Certain subsequent events or circumstances, which may occur between the audit report date and the time of reading this report, could have a material impact on the accompanying separate financial statements and notes thereto. Accordingly, the readers of the audit report should understand that the above audit report has not been updated to reflect the impact of such subsequent events or circumstances, if any.

Samsung Biologics Co., Ltd.
Separate Statements of Financial Position
December 31, 2025 and 2024

(in Korean won)

	Notes	December 31, 2025	December 31, 2024
Assets			
Current assets			
Cash and cash equivalents	5,6,32,33	₩ 141,484,622,864	₩ 299,588,328,642
Short-term financial instruments	5,33	1,300,000,000,000	900,000,000,000
Trade and other receivables	5,8,31,33	676,565,488,743	785,792,736,192
Inventories	10,25	2,128,164,162,722	1,882,955,514,642
Contract assets	9,33	103,627,211,536	84,626,028,810
Other current financial assets	5,11,33	29,057,433,784	24,105,411,518
Other current assets	12	14,575,947,987	15,232,738,058
		<u>4,393,474,867,636</u>	<u>3,992,300,757,862</u>
Non-current assets			
Long-term financial instruments	5,7,33	6,000,000	6,000,000
Trade and other receivables	5,8,31,33	-	5,880,446,322
Investments in subsidiaries, associates	13,31	45,882,814,000	3,328,226,236,594
Property, plant and equipment	14	6,028,492,966,965	5,047,583,098,573
Intangible assets	15	60,193,270,276	65,174,295,623
Right-of-use asset	19	8,019,432,076	461,455,134,905
Net defined benefit assets	21	23,295,787,579	11,219,728,018
Contract assets	9,33	307,972,154,079	277,987,597,673
Deferred tax assets	28	144,441,439,698	100,980,354,010
Other non-current financial assets	5,11,33	10,596,804,423	24,379,812,613
Other non-current assets	12	1,593,198,884	2,017,462,617
		<u>6,630,493,867,980</u>	<u>9,324,910,166,948</u>
Total assets		<u>₩ 11,023,968,735,616</u>	<u>₩ 13,317,210,924,810</u>

Samsung Biologics Co., Ltd.
Separate Statements of Financial Position, Continued
December 31, 2025 and 2024

(in Korean won)

	Notes	December 31, 2025	December 31, 2024
Liabilities			
Current liabilities			
Trade and other payables	5,17,21,30,31,33	₩ 485,836,876,835	₩ 1,126,445,629,735
Emission liability	18	551,917,600	500,890,270
Debentures	5,16,30,32,33	319,712,704,765	-
Contract liabilities	9,31	161,849,008,321	105,073,838,377
Lease liabilities	5,19,32,33	6,994,008,665	137,063,053,812
Current tax liabilities	28	356,112,534,137	277,965,234,889
Other current liabilities	9,20,31	1,201,458,529,835	1,032,343,022,959
		<u>2,532,515,580,158</u>	<u>2,679,391,670,042</u>
Non-current liabilities			
Trade and other payables	17,21,31,33	23,360,451,277	17,502,274,248
Debentures	5,16,30,32,33	599,011,716,516	917,756,707,992
Derivative liabilities	5	-	5,134,918,626
Contract liabilities	9,31	377,588,143,176	351,146,531,551
Lease liabilities	5,19,32,33	403,276,136	6,776,948,384
Other non-current liabilities	9,20,31	75,640,730,780	58,609,112,309
		<u>1,076,004,317,885</u>	<u>1,356,926,493,110</u>
Total liabilities		<u>3,608,519,898,043</u>	<u>4,036,318,163,152</u>
Equity			
Share capital	22	115,727,377,500	177,935,000,000
Share premium	22	3,391,926,183,382	5,672,425,121,121
Capital adjustments		(1,105,868,071,456)	-
Accumulated other comprehensive loss	21,22	(22,379,618,394)	(19,323,362,692)
Retained earnings		5,036,042,966,541	3,449,856,003,229
Total equity		<u>7,415,448,837,573</u>	<u>9,280,892,761,658</u>
Total liabilities and equity		<u>₩ 11,023,968,735,616</u>	<u>₩ 13,317,210,924,810</u>

The above separate statements of financial position should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd.
Separate Statements of Comprehensive Income
Years Ended December 31, 2025 and 2024

<i>(in Korean won)</i>	Notes	2025	2024
Revenue	4,23,31 ₩	4,556,971,695,180 ₩	3,497,145,675,782
Cost of sales	9,10,23,25,31	<u>(2,039,857,318,690)</u>	<u>(1,784,146,429,770)</u>
Gross profit		2,517,114,376,490	1,712,999,246,012
Selling, general and administrative expenses	24,25,31	<u>(449,021,537,063)</u>	<u>(391,573,724,162)</u>
Operating profit		2,068,092,839,427	1,321,425,521,850
Other income	26,31	6,699,785,075	4,327,315,894
Other expenses	26,31	(9,666,769,268)	(5,339,997,629)
Finance income	5,27	155,194,114,641	227,643,230,942
Finance costs	5,27	<u>(141,343,463,571)</u>	<u>(145,678,182,176)</u>
Profit before income tax		2,078,976,506,304	1,402,377,888,881
Income tax expense	28	<u>(492,789,542,992)</u>	<u>(351,411,387,841)</u>
Profit for the year		<u>₩ 1,586,186,963,312</u>	<u>₩ 1,050,966,501,040</u>
Other comprehensive loss			
<i>Items that will not be reclassified to profit or loss</i>			
Remeasurements of net defined benefit liabilities (assets)	21,22	₩ (3,056,255,702)	₩ (8,707,522,114)
Other comprehensive loss for the year, net of tax		<u>(3,056,255,702)</u>	<u>(8,707,522,114)</u>
Total comprehensive income for the year		<u>₩ 1,583,130,707,610</u>	<u>₩ 1,042,258,978,926</u>
Earnings per share			
Basic earnings per share	29	₩ 23,671	₩ 14,766
Diluted earnings per share	29	₩ 23,671	₩ 14,766

The above separate statements of comprehensive income should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd.
Separate Statements of Changes in Equity
Years Ended December 31, 2025 and 2024

(in Korean won)

	Notes	Share capital	Share premium	Capital Adjustments	Accumulated other comprehensive income (loss)	Retained earnings	Total
Balance at January 1, 2024		₩ 177,935,000,000	₩ 5,672,425,121,121	₩ -	₩ (10,615,840,578)	₩ 2,398,889,502,189	₩ 8,238,633,782,732
Total comprehensive income							
Profit for the year		-	-	-	-	-	-
Other comprehensive income	21,22	-	-	-	(8,707,522,114)	-	(8,707,522,114)
Remeasurements of net defined benefit liabilities (Assets)		-	-	-	(8,707,522,114)	1,050,966,501,040	1,042,258,978,926
Total comprehensive income for the year							
Balance at December 31, 2024		₩ 177,935,000,000	₩ 5,672,425,121,121	₩ -	₩ (19,323,362,692)	₩ 3,449,856,003,229	₩ 9,280,892,761,658
Balance at January 1, 2025		₩ 177,935,000,000	₩ 5,672,425,121,121	₩ -	₩ (19,323,362,692)	₩ 3,449,856,003,229	₩ 9,280,892,761,658
Total comprehensive income							
Profit for the year		-	-	-	-	1,586,186,963,312	1,586,186,963,312
Other comprehensive income		-	-	-	-	-	-
Remeasurements of net defined benefit liabilities (Assets)	21,22	-	-	-	(3,056,255,702)	-	(3,056,255,702)
Total comprehensive income for the year							
Transactions with owners recognized directly in equity							
Spin-off		(62,207,622,500)	(2,280,498,937,739)	(1,013,855,557,799)	-	-	(3,356,562,118,038)
Acquisition of treasury shares		-	-	(92,012,513,657)	-	-	(92,012,513,657)
Balance at December 31, 2025		₩ 115,727,377,500	₩ 3,391,926,183,382	₩ (1,105,868,071,456)	₩ (22,379,618,394)	₩ 5,036,042,966,541	₩ 7,415,448,837,573

The above separate statements of changes in equity should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd.
Separate Statements of Cash Flows
Years Ended December 31, 2025 and 2024

(in Korean won)

	Notes	2025	2024
Cash flows from operating activities			
Cash flows generated from operating activities	32	₩ 2,389,802,786,032	₩ 1,626,876,840,177
Interest received		40,486,924,522	58,626,303,717
Interest paid		(27,842,730,967)	(25,434,767,469)
Income tax paid		(448,990,986,863)	(277,232,249,891)
Net cash inflow from operating activities		<u>1,953,455,992,724</u>	<u>1,382,836,126,534</u>
Cash flows from investing activities			
Decrease in short-term financial instruments		3,300,000,000,000	4,255,180,000,000
Disposal of property, plant and equipment	14	271,369,042	121,310,525
Decrease in investments in associates	13,31	18,865,011,000	-
Increase in short-term financial instruments		(3,700,000,000,000)	(3,500,000,000,000)
Acquisition of property, plant and equipment	14	(1,376,344,214,595)	(1,297,126,457,854)
Acquisition of intangible assets	15	(11,502,254,035)	(26,633,162,885)
Acquisition of investments in associates	13,31	(1,701,562,500)	(10,694,062,500)
Acquisition of investments in subsidiaries	13,32	-	(601,956,250,000)
Net cash outflow from investing activities		<u>(1,770,411,651,088)</u>	<u>(1,181,108,622,714)</u>
Cash flows from financing activities			
Issuance of debentures	16,32	-	797,659,176,800
Redemption of bonds	16,32	-	(380,000,000,000)
Repayment of short-term borrowings	16,32	-	(220,000,000,000)
Repayment of current portion of long-term borrowings	16,32	-	(208,682,000,000)
Repayment of lease liabilities	19,32	(145,246,842,617)	(143,153,442,240)
Cash outflows arising from the spin-off	32	(100,000,000,000)	-
Acquisition of treasury shares	22	(92,012,513,657)	-
Net cash outflow from financing activities		<u>(337,259,356,274)</u>	<u>(154,176,265,440)</u>
Net increase(decrease) in cash and cash equivalents		(154,215,014,638)	47,551,238,380
Cash and cash equivalents at the beginning of the year		299,588,328,642	230,790,684,551
Effects of exchange rate changes on cash and cash equivalents		(3,888,691,140)	21,246,405,711
Cash and cash equivalents at the end of the year		<u>₩ 141,484,622,864</u>	<u>₩ 299,588,328,642</u>

The above separate statements of cash flows should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd.

Notes to the Separate Financial Statements

December 31, 2025 and 2024

1. General Information

Samsung Biologics Co., Ltd. (the “Company”) was established on April 22, 2011, under the commercial law of the Republic of Korea and is engaged in biosimilar manufacturing. The Company's head office is located in 300, Songdobio-daero, Yeonsu-gu, Incheon-si, Republic of Korea. The Company was listed on the securities market on November 10, 2016. Following the spin-off completed on November 1, 2025, the Company's share capital amounted to ₩ 115,727 million as of the end of the year.

The shareholders of the Company as of December 31, 2025, are as follows:

Shareholder	Number of shares (in shares)	Percentage of ownership (%)
Samsung C&T Corporation	19,932,350	43.06
Samsung Electronics Co., Ltd.	14,449,944	31.22
Others	11,908,657	25.72
	<u>46,290,951</u>	<u>100.00</u>

On May 22, 2025, the Board of Directors of the Company approved a plan to establish a newly incorporated company through a spin-off, which would focus primarily on the management of subsidiaries, including Samsung Bioepis Co., Ltd., and on new investments. Following the approval of the agenda by the shareholders' meeting on October 17, 2025, the Company completed the spin-off of the relevant business segment with November 1, 2025 as the effective date.

2. Material Accounting Policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

2.1 Basis of Preparation

The Company maintains its accounting records in Korean won and prepares statutory financial statements in the Korean language (Hangul) in accordance with International Financial Reporting Standards as adopted by the Republic of Korea (Korean IFRS). The accompanying financial statements have been condensed, restructured and translated into English from the Korean language financial statements.

Certain information attached to the Korean language financial statements, but not required for a fair presentation of the Company's financial position, financial performance or cash flows, is not presented in the accompanying financial statements.

The financial statements of the Company have been prepared in accordance with Korean IFRS. These are the standards, subsequent amendments and related interpretations issued by the International Accounting Standards Board (IASB) that have been adopted by the Republic of Korea.

Samsung Biologics Co., Ltd.

Notes to the Separate Financial Statements

December 31, 2025 and 2024

The financial statements have been prepared on a historical cost basis, except for the following:

- Certain financial assets and liabilities (including derivative instruments), and
- Defined benefit pension plans – plan assets measured at fair value, and
- Assets held for sale measured at fair value less costs to sell.

The preparation of financial statements requires the use of critical accounting estimates. Management also needs to exercise judgement in applying the Company's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 3.

2.2 Changes in Accounting Policies and Disclosures

2.2.1 New and amended standards adopted by the Company

The Company has applied the following standards and amendments for the first time for their annual reporting period commencing January 1, 2025.

Amendments to Korean IFRS 1021 The Effects of Changes in Foreign Exchange Rates and 1101 First-time Adoption of International Financial Reporting Standards – Lack of Exchangeability

The amendments add criteria for assessing the exchangeability between two currencies in order to clarify the requirements for translating a functional currency into a presentation currency. In addition, when a company judges that exchangeability is lacking, the amendments add requirements for estimating the spot exchange rate to be applied and require disclosure of related information. These amendments to the Standard do not have a material effect on the financial statements.

Samsung Biologics Co., Ltd.
Notes to the Separate Financial Statements
December 31, 2025 and 2024

2.2.2 New standards and interpretations not yet adopted by the Company

The following new accounting standards and interpretations have been published that are not mandatory for December 31, 2025 reporting periods and have not been early adopted by the Company.

(a) Amendments to K-IFRS No. 1109 'Financial Instruments' and K-IFRS No. 1107 'Financial Instruments: Disclosures'

The Company is reviewing the effect of these amendments on its separate financial statements. The amendments are effective for fiscal years beginning on or after 1 January 2026, with earlier application permitted. The main amendments are as follows:

- Permit an entity, when certain baseline are met, to deem a financial liability to have been settled (derecognized) via an electronic payment system before the settlement date.
- Clarify further guidance for assessing whether a financial asset meets criteria for consisting solely of payments of principal and interest.
- Require disclosures in the financial statement, for each class of financial instrument, of the effect on the entity and the exposure to which the entity is subject from contractual terms that change the timing or amount of contractual cash flows.
- Require additional disclosures for equity instruments measured at fair value through other comprehensive income.

(b) Annual Improvements to K-IFRS Volume 11

Annual Improvements to K-IFRS Volume 11 are effective for fiscal years beginning on or after 1 January 2026, with earlier application permitted. The Company expects that the amendments will not have a material effect on its separate financial statements.

- K-IFRS No. 1101 'First-time Adoption of Korean International Financial Reporting Standards': application of hedge accounting on first-time adoption of K-IFRS.
- K-IFRS No. 1107 'Financial Instruments: Disclosures': gains or losses on derecognition, implementation guidance.
- K-IFRS No. 1109 'Financial Instruments': accounting for derecognition of lease liabilities and definition of transaction price.
- K-IFRS No. 1110 'Consolidated Financial Statements': determination of a de facto agent.
- K-IFRS No. 1007 'Statement of Cash Flows': cost method.

(c) Amendments to K-IFRS No. 1107 'Financial Instruments: Disclosures' and K-IFRS No. 1109 'Financial Instruments'

These standards are effective for fiscal years beginning on or after 1 January 2026, with earlier application permitted. The Company does not expect the amendments to have a material impact on the separate financial statements. The main amendments are as follows:

- Expansion of the application of hedge accounting to virtual power purchase agreements (Virtual PPAs)
- Introduction of disclosure requirements for nature-dependent power contracts that meet specified characteristics

Samsung Biologics Co., Ltd.

Notes to the Separate Financial Statements

December 31, 2025 and 2024

(d) *K-IFRS No. 1118 'Presentation and Disclosures in Financial Statements', promulgation*

The Company is currently assessing the impact of this promulgation on the separate financial statements. This standard is effective for fiscal years beginning on or after 1 January 2027, with earlier application permitted. The main provisions are as follows:

- Presentation of specified categories and defined subtotals in the statement of profit or loss
- Provision of disclosures related to management-defined performance measures (MPMs) in the notes to the financial statements
- Improvements to aggregation and disaggregation

2.3 Cash and Cash Equivalents

Cash and cash equivalents include cash on hand, deposits held at call with banks, and other short-term highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of change in value.

2.4 Subsidiaries and Associates

The Company, as the controlling company in accordance with Korean IFRS 1110, *Consolidated Financial Statements*, invests in Samsung Biologics America, Inc., which is a subsidiary, and SVIC No.54 New Technology Business Investment L.L.P. and SVIC No.64 New Technology Business Investment L.L.P. which are associates and joint ventures.

Associates are those entities in which the Company has significant influence, but not control or joint control, over the financial and operating policies. A joint venture is an arrangement in which the Company has joint control, whereby the Company has rights to the net assets of the arrangement, rather than rights to its assets and obligations for its liabilities.

Investments in subsidiaries, associates and joint ventures are recognized under the cost method in accordance with Korean IFRS 1027, *Separate Financial Statements* on the Company's separate financial statements.

If there is any objective evidence that the investments in subsidiaries and associates are impaired, the Company recognizes the difference between the recoverable amount and the carrying amount as impairment loss.

Meanwhile, although the transactions were not business combinations, the spin-off transactions that occurred during the current and prior periods met the criteria for transactions under common control. Accordingly, the specific methodology of the book value method applied to such spin-off transactions is as described below.

- Spin-off

Accumulated other comprehensive income related to the assets subject to the spin-off has been reclassified to equity upon the spin-off.

Samsung Biologics Co., Ltd.
Notes to the Separate Financial Statements
December 31, 2025 and 2024

2.5 Foreign Currency Translation

(a) Functional and presentation currency

Items included in the financial statements of the Company are measured using the currency of the primary economic environment in which the Company operates (the "functional currency"). The financial statements are presented in Korean won, which is the Company's functional and presentation currency.

(b) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation of monetary assets and liabilities denominated in foreign currencies at year end exchange rates are generally recognized in profit or loss. They are deferred in other comprehensive income if they relate to qualifying cash flow hedges and qualifying effective portion of net investment hedges, or are attributable to monetary part of the net investment in a foreign operation.

Foreign exchange differences arising from non-monetary financial assets and liabilities are included as part of changes in fair value. When the functional currency of a foreign operation is not the currency of a hyperinflationary economy, assets and liabilities in the statement of financial position (including comparative statements of financial position) are translated at the closing exchange rate at the end of the reporting period, and income and expenses in the statement of comprehensive income (including comparative statements of comprehensive income) are translated at the exchange rates at the dates of the transactions. Exchange differences arising from such translation are recognized in other comprehensive income.

2.6 Financial Assets

(a) Measurement

Equity instruments

The Company subsequently measures all investments in equity instruments at fair value. For equity instruments that are held for long-term investment or strategic purposes and for which the Company has elected to present changes in fair value in other comprehensive income, the amounts recognized in other comprehensive income are not reclassified to profit or loss upon derecognition of the relevant equity instruments.

(b) Impairment

The Company assesses expected credit losses on debt instruments that are measured at amortized cost or at fair value through other comprehensive income based on forward-looking information. The impairment approach is determined depending on whether there has been a significant increase in credit risk. However, for trade receivables, other receivables, and contract assets, the Company applies the simplified approach, under which lifetime expected credit losses are recognized from the initial recognition of the receivables (see Note 33).

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(c) Offsetting of financial instruments

Financial assets and financial liabilities are offset and presented on a net basis in the statement of financial position when, and only when, the Company currently has a legally enforceable right to set off the recognized amounts and intends either to settle on a net basis or to realize the asset and settle the liability simultaneously. A legally enforceable right of set-off is not contingent on future events and is enforceable in the normal course of business, as well as in the event of default, insolvency, or bankruptcy.

2.7 Trade Receivables

Trade receivables are amounts due from customers for merchandise sold or services performed in the ordinary course of business. Trade receivables are recognized initially at the amount of consideration that is unconditional, unless they contain significant financing components and are recognized at fair value. Trade receivables are subsequently measured at amortized cost using the effective interest method, deducting loss allowances.

2.8 Inventories

Inventories are stated at the lower of cost and net realizable value. Cost is determined using the individual method, moving weighted average method, or monthly gross average method. The cost of inventories includes expenditures for acquiring the inventories, production or conversion costs and other costs incurred in bringing them to their existing location and condition. Fixed production overheads which are included in the costs of finished goods or work-in-process are allocated based on the allocation criteria specific to each production process.

2.9 Property, Plant and Equipment

Property, plant and equipment are stated at historical cost less accumulated depreciation and accumulated impairment losses. Historical cost includes expenditure that is directly attributable to the acquisition of the items. Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognized. All other repairs and maintenance are recognized as expense during the financial period in which they are incurred.

Assets other than land are amortized on a straight-line basis over the following estimated economic useful lives, after deducting their residual values from acquisition cost.

	Useful lives
Buildings and Structures	40 years
Machinery	5~15 years
Vehicles	4 years
Others	4 years

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2.10 Government Grants

Government grants are recognized at fair value when there is reasonable assurance regarding receipt of the grant and compliance with the conditions attached to the government grant. Grants related to assets are presented by deducting them in calculating the carrying amount of the asset, and grants related to income are deferred and presented as a deduction from the expenses related to the purpose for which the government grant is awarded. In connection with the use of certain land, the Company is fully exempt from rent by satisfying the rent reduction requirements under the Incheon Metropolitan City public property management ordinance in the process of entering into a lease contract with Incheon Metropolitan City. The Company recognizes the fair value of the rent exempted by Incheon Metropolitan City as an intangible asset, and recognizes the same amount as a deduction from the asset under the account of government grants.

2.11 Intangible Assets

Intangible assets are amortized using the straight-line method over the estimated useful lives set out below, with a residual value of zero, from the date when the assets are available for use. However, for certain intangible assets, the period over which the assets are expected to be available for use cannot be reliably estimated. Accordingly, such intangible assets are assessed as having indefinite useful lives and are not amortized.

	Useful lives
Software	5 years
Other intangible assets	5 years
Land use rights	50 years
Trademarks and patent rights	10 years
Memberships	indefinite

2.12 Trade and Other Payables

Trade payables and other payables represent liabilities for goods or services that have been received by the Company but not yet paid for as of the end of the reporting period. Trade payables and other payables are presented as current liabilities in the statement of financial position unless payment is not due within twelve months after the reporting period. Such liabilities are initially recognized at fair value and are subsequently measured at amortized cost using the effective interest method.

2.13 Financial Liabilities

(a) Classification and measurement

The Company's financial liabilities measured at fair value through profit or loss consist of financial instruments held for trading purposes. Financial liabilities that are incurred principally for the purpose of repurchasing them in the near term are classified as financial liabilities held for trading. In addition, derivatives that are not designated as hedging instruments and embedded derivatives separated from financial instruments are also classified as financial liabilities held for trading. All non-derivative financial liabilities, other than financial liabilities measured at fair value through profit or loss, financial

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guarantee contracts, and financial liabilities arising from transfers of financial assets that do not qualify for derecognition, are classified as financial liabilities measured at amortized cost and are presented in the statement of financial position as “trade and other payables” or “debentures and borrowings.” Borrowings are initially recognized at fair value, net of transaction costs incurred, and are subsequently measured at amortized cost. Any difference between the proceeds received (net of transaction costs) and the redemption amount is recognized in profit or loss over the period of the borrowings using the effective interest method. Borrowings are classified as current liabilities unless the Company has an unconditional right to defer settlement of the liability for at least twelve months after the reporting period. When the Company is required to comply with covenants at or before the end of the reporting period, such covenants are considered in determining the classification of the liability as current or non-current. Covenants that are required to be complied with only after the reporting period do not affect the classification of the liability at the end of the reporting period.

2.14 Greenhouse Gas Emission Permits

With enforcement of The Act on the Allocation and Trading of Greenhouse Gas Emission Permits, the allocation received from the government for free of charge are measured at zero while purchased emission permits are measured at acquisition cost and presented net of accumulated impairment loss. Emissions obligations are measured as the best estimate of expenditure required to settle the obligation at the end of the reporting period for the gas emissions in excess of the emission permits. Emission permits and emission obligations are classified as intangible assets and emission liability, respectively, in the statement of financial position.

2.15 Revenue Recognition

Identification of performance obligation

- CMO (Contract Manufacturing Organization) business

The Company manufactures and supplies made-to-order biomedicine. Services mandatorily rendered prior to a production of biomedicine do not form a part of a performance obligation since they are considered as a set-up process. Only the sales of biomedicine are recognized as performance obligations.

- CDO (Contract Development Organization) business

The Company provides cell line and upstream/downstream process development services. The Company recognizes cell line and upstream/downstream process development services as distinct performance obligations.

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(b) Satisfaction of performance obligations

- CMO business

Goods manufactured by the Company do not have an alternative use to the Company, and it has an enforceable right to payment for performance completed to date. This is because that the Company produces biomedicine at a quality that a customer requires and is entitled to reimbursement of the costs incurred to date, including a reasonable margin if a customer terminates a contract. Therefore, the Company recognizes revenue and the associated costs over time as it satisfies its performance obligation over a contract period.

Under the practical expedient of Korean IFRS 1115, the transaction price allocated to these unsatisfied contracts is not disclosed.

- CDO business

Revenue is recognized over time during the research period of each service as a customer simultaneously receives and consumes the benefits provided by the Company as the Company performs research and development services.

(c) Costs to fulfil a contract

If the costs incurred in fulfilling a contract with a customer are related directly to a contract or to an anticipated contract that the entity can specifically identify, generate or enhance resources of the entity that will be used in satisfying performance obligations in the future, and the costs are expected to be recovered, the costs are recognized as assets. And the costs to fulfil a contract are recognized as cost of revenue based on the percentage of completion.

(d) Contract assets and contract liabilities

- CMO business

The Company recognizes the amount of the advance consideration by customers related to the transfer of technology or engineering batch production as contract liabilities and related costs as costs to fulfil a contract. Such activities are required in advance for the production of goods ordered but do not transfer goods or services to a customer. Accordingly, they are not included in a performance obligation.

- CDO business

In a CDO business, a contract asset is an entity's right to receive consideration in exchange for goods or services that the entity has transferred to a customer, and a contract liability is the entity's obligation to transfer goods or services to a customer for which the entity has received consideration (or the amount is due) from the customer.

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(e) Variable consideration

If the consideration promised in a contract includes a variable amount, the Company estimates the amount of consideration to which the Company will be entitled to in exchange for transferring the promised goods or services to a customer. An amount of consideration can vary because of discounts, refunds, credits, price concessions, penalties or other similar items. The promised consideration can also vary if an entity's entitlement to the consideration is contingent on the occurrence or non-occurrence of a future event.

(f) Recognition of receivable

A receivable is recognized when the control of bio-medicine has been transferred as this is the point in time that the consideration is unconditional because only the passage of time is required before the payment is due.

2.16 Leases

(a) Lessor

Lease income from operating leases where the Company is a lessor is recognized in income on a straight-line basis over the lease term. Initial direct costs incurred in obtaining an operating lease are added to the carrying amount of the underlying asset and recognized as expense over the lease term on the same basis as lease income. The respective leased assets are included in the statement of financial position based on their nature.

(b) Lessee

The Company leases various offices, equipment and vehicles. Lease contracts are typically made for a fixed periods of 2 to 3 years, but may have extension options. Contracts may contain both lease and non-lease components. However, for leases of real estate for which the Company is lessee, the Company applies the practical expedient which has elected not to separate lease and non-lease components and instead accounts for these as a single lease component. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose any covenants, but leased assets may not be used as security for borrowing purposes.

Some of lease contracts of the Company include extension and termination options. These terms are used to maximize operational flexibility in terms of contract management. Most of the extension and termination options can be exercised by the Company and not by the relevant lessor.

Leases are recognized as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the Company. Assets and liabilities arising from a lease are initially measured on a present value basis. Lease liability measurement also include payments to be made in the option periods if the lessee is reasonably certain to exercise the option to extend the lease.

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The lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be determined, the lessee's incremental borrowing rate is used, being the rate that the lessee would have to pay to borrow the funds necessary to obtain an asset of similar value in a similar economic environment with similar terms and conditions.

The Company elected not to apply that revaluation model to buildings held by the Company that are presented in the right-of-use assets.

Short-term leases are leases with a lease term of 12 months or less. Low-value assets are comprised of IT-equipment and small items of office furniture. Payments associated with short-term leases and leases of low-value assets are recognized as an expense in profit or loss.

2.17 Approval of Issuance of the Financial Statements

The separate financial statements for 2025 were approved for issue by the Board of Directors on January 21, 2026 and are subject to change with the approval of shareholders at their Annual General Meeting.

3. Significant Accounting Estimates and Assumptions

The preparation of financial statements requires the Company to make estimates and assumptions concerning the future. Management also needs to exercise judgement in applying the Company's accounting policies. Estimates and assumptions are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. As the resulting accounting estimates will, by definition, seldom equal the related actual results, it can contain a significant risk of causing a material adjustment.

The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below. Additional information of significant judgement and assumptions of certain items are included in the relevant notes.

(a) Income taxes

The Company's taxable income generated from these operations are subject to income taxes based on tax laws and interpretations of tax authorities in numerous jurisdictions. There are many transactions and calculations for which the ultimate tax determination is uncertain (Note 28).

If certain portion of the taxable income is not used for investments or increase in wages or dividends in accordance with the *Tax System for Recirculation of Corporate Income*, the Company is liable to pay additional income tax calculated based on the tax laws. The new tax system is effective for three years from 2015. Accordingly, the measurement of current and deferred income tax is affected by the tax effects from the new tax system. As the Company's income tax is dependent on the investments, increase in wages and dividends, there is an uncertainty in measuring the final tax effects.

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(b) Impairment of investments in subsidiaries

The Company reviews whether there are any impairment indicators of investments in subsidiaries annually at the end of each reporting period. An impairment assessment is performed when it is determined that there is an indicator of impairment or considering the material amount of investments at the end of every year. The carrying value is compared to the recoverable amount, which is the higher of value in use and the fair value less costs to sell. An impairment loss is recognized immediately as an expense and is subsequently reversed as the recoverable amount of the investment subsequently increases.

(c) Impairment of costs to fulfill a contract

The Company reviews whether there are any impairment indicators of costs to fulfill a contract at the end of each reporting period. The Company recognizes the impairment by comparing the revenue expected to receive for goods or service related to the costs to fulfill a contract with expected cost that are directly attributable. These calculations require estimates.

(d) Net defined benefit asset

The present value of net defined benefit asset depends on a number of factors that are determined on an actuarial basis using a number of assumptions including the discount rate (Note 21).

4. Operating Segments

The Company has disclosed information related to the operating segment in the condensed interim separate financial statements in accordance with K-IFRS No. 1108. The Company has one reportable segment, CDMO(Contract Development and Manufacturing Organization), as of December 31, 2025.

Details of customers, who take over 10% of the Company's total revenue for the years, 2025 and 2024, are as follows:

<i>(in Korean won)</i>	2025	2024
Client A	₩ 969,660,442,839	₩ 306,012,091,890
Client B	493,757,336,968	86,130,744,391
Client C	478,468,863,363	358,915,729,494
Client D	277,382,226,790	487,523,553,090
Client E	166,979,764,908	410,144,688,023

Geographic revenue for the years ended December 31, 2025 and 2024, is as follows:

<i>(in Korean won)</i>	2025	2024
Domestic	₩ 371,876,479,018	₩ 558,086,309,485
Europe	2,367,746,716,504	2,035,771,049,122
USA	1,733,921,542,433	822,631,938,995
Other	83,426,957,225	80,656,378,180
	<u>₩ 4,556,971,695,180</u>	<u>₩ 3,497,145,675,782</u>

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5. Financial Instruments

(a) Financial assets

Categories of financial assets as of December 31, 2025 and 2024, are as follows:

(in Korean won)

	December 31, 2025	December 31, 2024
	Financial assets measured at amortized cost	Financial assets measured at amortized cost
Current assets		
Cash and cash equivalents	₩ 141,484,622,864	₩ 299,588,328,642
Short-term financial instruments	1,300,000,000,000	900,000,000,000
Trade and other receivables ¹	667,529,471,127	699,488,121,593
Deposits provided	29,057,433,784	24,105,411,518
	<u>2,138,071,527,775</u>	<u>1,923,181,861,753</u>
Non-current assets		
Long-term financial instruments	6,000,000	6,000,000
Trade and other receivables	-	5,880,446,322
Deposits provided	10,596,804,423	24,379,812,613
	<u>10,602,804,423</u>	<u>30,266,258,935</u>
	<u>₩ 2,148,674,332,198</u>	<u>₩ 1,953,448,120,688</u>

¹ The amounts exclude the tax-related receivables and receivables due from employees.

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(b) Financial liabilities

Categories of financial liabilities as of December 31, 2025 and 2024, are as follows:

(in Korean won)

		December 31, 2025			
		Financial liabilities at fair value through profit or loss	Financial liabilities measured at amortized cost	Other liabilities	Total
Current liabilities					
Trade and other payables ¹	₩	-	₩ 272,685,138,122	₩ -	₩ 272,685,138,122
Debentures		-	319,712,704,765	-	319,712,704,765
Lease liabilities		-	-	6,994,008,665	6,994,008,665
		-	592,397,842,887	6,994,008,665	599,391,851,552
Non-current liabilities					
Debentures		-	599,011,716,516	-	599,011,716,516
Derivative liabilities		-	-	-	-
Lease liabilities		-	-	403,276,136	403,276,136
		-	599,011,716,516	403,276,136	599,414,992,652
	₩	-	₩ 1,191,409,559,403	₩ 7,397,284,801	₩ 1,198,806,844,204

¹ The amounts exclude the accrued compensation for annual leaves, performance bonuses, and others payable to employees.

(in Korean won)

		December 31, 2024			
		Financial liabilities at fair value through profit or loss	Financial liabilities measured at amortized cost	Other liabilities	Total
Current liabilities					
Trade and other payables ¹	₩	-	₩ 966,580,156,155	₩ -	₩ 966,580,156,155
Debentures		-	-	-	-
Lease liabilities		-	-	137,063,053,812	137,063,053,812
		-	966,580,156,155	137,063,053,812	1,103,643,209,967
Non-current liabilities					
Debentures		-	917,756,707,992	-	917,756,707,992
Derivative liabilities	5,134,918,626	-	-	-	5,134,918,626
Lease liabilities		-	-	6,776,948,384	6,776,948,384
		5,134,918,626	917,756,707,992	6,776,948,384	929,668,575,002
	₩	5,134,918,626	₩ 1,884,336,864,147	₩ 143,840,002,196	₩ 2,033,311,784,969

¹ The amounts exclude the accrued compensation for annual leaves, performance bonuses, and others payable to employees.

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(c) The fair values of financial instruments

The fair values of financial instruments, together with the carrying amounts shown in the statement of financial position as of December 31, 2025 and 2024, are as follows:

(in Korean won)	December 31, 2025		December 31, 2024	
	Carrying amount ¹	Fair value	Carrying amount ¹	Fair value
Assets measured at amortized cost				
Cash and cash equivalents	₩ 141,484,622,864	₩ 141,484,622,864	₩ 299,588,328,642	₩ 299,588,328,642
Short-term financial instruments	1,300,000,000,000	1,300,000,000,000	900,000,000,000	900,000,000,000
Long-term financial instruments	6,000,000	6,000,000	6,000,000	6,000,000
Trade and other receivables	667,529,471,127	667,529,471,127	705,368,567,915	705,368,567,915
Deposits provided	39,654,238,207	39,654,238,207	48,485,224,131	48,485,224,131
	<u>₩ 2,148,674,332,198</u>	<u>₩ 2,148,674,332,198</u>	<u>₩ 1,953,448,120,688</u>	<u>₩ 1,953,448,120,688</u>
Liabilities carried at fair value				
Derivative liabilities	₩ -	₩ -	₩ 5,134,918,626	₩ 5,134,918,626
Liabilities carried at amortized cost				
Trade and other payables	272,685,138,122	272,685,138,122	966,580,156,155	966,580,156,155
Debentures	918,724,421,281	918,724,421,281	917,756,707,992	917,756,707,992
	<u>1,191,409,559,403</u>	<u>1,191,409,559,403</u>	<u>1,884,336,864,147</u>	<u>1,884,336,864,147</u>
	<u>₩ 1,191,409,559,403</u>	<u>₩ 1,191,409,559,403</u>	<u>₩ 1,889,471,782,773</u>	<u>₩ 1,889,471,782,773</u>

¹ The Company used the carrying amount as a proxy for fair value because it is a reasonable approximation of fair value.

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(d) Fair value hierarchy

The following presents financial instruments measured and recognized at fair value as of December 31, 2025 and 2024:

(in Korean won)		December 31, 2025				
		Level 1	Level 2	Level 3	Total	
Financial liabilities						
Derivative liabilities	₩	-	₩	-	₩	-

(in Korean won)		December 31, 2024						
		Level 1	Level 2	Level 3	Total			
Financial liabilities								
Derivative liabilities	₩	-	₩	-	₩	5,134,918,626	₩	5,134,918,626

(e) Valuation techniques and inputs

Valuation techniques and significant inputs used in measuring the fair value of financial instruments classified as level 3 as of December 31, 2025 and 2024, are as follows:

(in Korean won)		Fair value		Level	Valuation techniques	Inputs
		December 31, 2025	December 31, 2024			
Derivative liabilities (contingent considerations in the stock purchase)	₩	-	₩ 5,134,918,626	3	Option model	Discount rate and others

(f) Valuation Processes for Fair Value Measurements Categorized as Level 3

The Company's finance department operates a separate team that performs the fair value measurements required for financial reporting purposes, including level 3 fair values. Discussions of valuation process and result are held at reporting date, in line with the Company's end of each reporting period.

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(g) Net gains or losses by category of financial instruments

Net gains or losses on each category of financial instruments for the years ended December 31, 2025 and 2024, are as follows:

(in Korean won)

	2025			
	Interest income (expenses)	Gain (loss) on valuation	Other income (expenses) ¹	Net income (loss)
Financial assets at amortized cost	₩ 45,504,396,544	₩ -	₩ (2,983,763,919)	₩ 42,520,632,625
Derivative assets	-	-	-	-
Financial liabilities at amortized cost	(27,374,057,529)	-	(3,651,493,257)	(31,025,550,786)
Derivative liabilities	-	4,940,267,758	-	4,940,267,758
Other liabilities	(1,772,893,991)	-	-	(1,772,893,991)
	<u>₩ 16,357,445,024</u>	<u>₩ 4,940,267,758</u>	<u>₩ (6,635,257,176)</u>	<u>₩ 14,662,455,606</u>

¹ Other income and expenses include gain (loss) on foreign currency translations and transactions, and bad debt expenses on receivables

(in Korean won)

	2024			
	Interest income (expenses)	Gain (loss) on valuation	Other income (expenses) ¹	Net income (loss)
Financial assets at amortized cost	₩ 54,074,763,167	₩ -	₩ (20,279,755,594)	₩ 33,795,007,573
Derivative assets	-	1,086,047,835	(459,701,862)	626,345,973
Financial liabilities at amortized cost	(31,677,527,625)	-	68,491,696,202	36,814,168,577
Derivative liabilities	-	19,508,785,085	-	19,508,785,085
Other liabilities	(2,399,732,879)	-	-	(2,399,732,879)
	<u>₩ 19,997,502,663</u>	<u>₩ 20,594,832,920</u>	<u>₩ 47,752,238,746</u>	<u>₩ 88,344,574,329</u>

¹ Other income and expenses include gain (loss) on foreign currency translations and transactions, gain (loss) on transactions of derivative assets, and bad debt expenses on receivables.

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6. Cash and Cash Equivalents

Cash and cash equivalents as of December 31, 2025 and 2024, are as follows:

<i>(in Korean won)</i>		2025		2024
Cash equivalents	₩	141,484,622,864	₩	299,588,328,642

7. Restricted Financial Instruments

Restriction of financial instruments as of December 31, 2025 and 2024, are as follows:

<i>(in Korean won)</i>		2025		2024	Note
Long-term financial instruments	₩	6,000,000	₩	6,000,000	Deposit on checking accounts

8. Trade and Other Receivables

Details of trade and other receivables as of December 31, 2025 and 2024, are as follows:

<i>(in Korean won)</i>		2025		
		Gross amount	Bad debt allowances¹	Net amount
Trade receivables	₩	691,122,451,268	₩ (36,394,223,818)	₩ 654,728,227,450
Other receivables		10,269,698,022	(338,842,608)	9,930,855,414
Accrued income		11,906,405,879	-	11,906,405,879
Total ²	₩	713,298,555,169	₩ (36,733,066,426)	₩ 676,565,488,743

<i>(in Korean won)</i>		2024		
		Gross amount	Bad debt allowances¹	Net amount
Trade receivables	₩	732,461,341,025	₩ (36,461,519,034)	₩ 695,999,821,991
Other receivables		87,472,525,577	(360,165,817)	87,112,359,760
Accrued income		8,561,000,763	-	8,561,000,763
Total ²	₩	828,494,867,365	₩ (36,821,684,851)	₩ 791,673,182,514

¹ The Company recognized bad debt allowances by calculating the expected credit loss for lifetime expected collection period from the initial recognition of receivables (Note 33).

² Trade and other receivables for related parties as of December 31, 2025 and 2024, are ₩ 30,565 million and ₩ 80,458 million, respectively (Note 31).

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9. Contract Assets and Liabilities

Changes in contract assets and liabilities arising from contracts with customers for years ended December 31, 2025 and 2024, are as follows:

(in Korean won)	2025			
	Beginning balance	Increase	Decrease	Ending balance
Contract assets				
- costs to fulfill a contract	₩ 332,894,891,838	₩ 112,592,608,439	₩ (55,274,462,622)	₩ 390,213,037,655
Contract assets - unbilled ¹	29,718,734,645	22,281,660,155	(30,614,066,840)	21,386,327,960
Contract liabilities	456,220,369,928	221,698,691,793	(138,481,910,224)	539,437,151,497

¹ The amount of increase or decrease includes bad debt expense (reversal) (Note 33).

Revenue recognized in the current period that was included in the beginning balance of contract liabilities was ₩ 94,010 million.

(in Korean won)	2024			
	Beginning balance	Increase	Decrease	Ending balance
Contract assets				
- costs to fulfill a contract	₩ 314,355,551,157	₩ 86,987,018,289	₩ (68,447,677,608)	₩ 332,894,891,838
Contract assets - unbilled ¹	24,791,698,034	11,748,097,179	(6,821,060,568)	29,718,734,645
Contract liabilities	353,873,746,413	241,321,379,245	(138,974,755,730)	456,220,369,928

¹ The amount of increase or decrease includes bad debt expense (reversal) (Note 33).

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Costs incurred in fulfilling a contract include costs for technology transfer and production of trial batches in order to manufacture products that customers request. Such activities do not include transferring goods or services to a customer but are prerequisite for the production of goods ordered. Accordingly, they do not consist of a part of the performance obligation but are recognized as contract assets. Unbilled contract assets were recognized due to a difference between the extent of the Company's satisfaction of its performance obligation satisfied over time and the consideration billed to the customer. The Company recognizes any advance consideration received from a customer as contract liabilities, as the performance obligation is fulfilled over a period of time.

The amount of impairment loss on contract fulfillment costs recognized in profit or loss for the year ended December 31, 2025, is ₩ 10,697 million, and the amount recognized for the year ended December 31, 2024, is ₩ 885 million, respectively.

Besides the above contract liabilities recognized, the Company classifies the amount received in advance from customers before transferring goods or services as 'advance receipts'.

Changes in advance receipts for the years ended December 31, 2025 and 2024, are as follows:

(in Korean won)		2025			
		Beginning balance	Increase	Decrease	Ending balance
Advance receipts	₩	1,082,421,016,523	₩ 1,534,917,390,958	₩ (1,351,851,143,269)	₩ 1,265,487,264,212

Revenue recognized in the current period that was included in the beginning balance of advance receipts was ₩ 382,513 million.

(in Korean won)		2024			
		Beginning balance	Increase	Decrease	Ending balance
Advance receipts	₩	790,813,289,226	₩ 1,005,319,280,992	₩ (713,711,553,695)	₩ 1,082,421,016,523

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10. Inventories

Details of inventories as of December 31, 2025 and December 31, 2024, are as follows:

(in Korean won)		December 31, 2025							
		Acquisition cost		Provision for loss on valuation		Book amount			
Finished goods	₩	730,367,526,210		₩	(5,576,748,170)		₩	724,790,778,040	
Work-in-process		513,638,360,394			(5,778,381,504)			507,859,978,890	
Raw materials		765,337,196,132			(30,180,259,695)			735,156,936,437	
Supplies		198,929,649,771			(39,575,587,014)			159,354,062,757	
Goods in transit		1,002,406,598			-			1,002,406,598	
	₩	2,209,275,139,105		₩	(81,110,976,383)		₩	2,128,164,162,722	

(in Korean won)		December 31, 2024							
		Acquisition cost		Provision for loss on valuation		Book amount			
Finished goods	₩	531,501,045,812		₩	(4,610,844,971)		₩	526,890,200,841	
Work-in-process		496,743,374,438			(4,926,817,107)			491,816,557,331	
Raw materials		646,011,977,624			(7,859,267,274)			638,152,710,350	
Supplies		268,743,284,609			(43,913,904,110)			224,829,380,499	
Goods in transit		1,266,665,621			-			1,266,665,621	
	₩	1,944,266,348,104		₩	(61,310,833,462)		₩	1,882,955,514,642	

For the year ended December 31, 2025, the Company recognized ₩ 1,854,068 million (2024: ₩ 1,640,618 million) of inventories as an expense, and the amount includes inventory write-downs recognized for the year ended December 31, 2025, amounting to ₩ 19,800 million (2024: ₩ 56,337 million).

11. Other Financial Assets

Details of other financial assets as of December 31, 2025 and, 2024, are as follows:

(in Korean won)	2025				2024			
	Current		Non-current		Current		Non-current	
Deposits provided	₩	29,057,433,784	₩	10,596,804,423	₩	24,105,411,518	₩	24,379,812,613

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12. Other Assets

Details of other assets as of December 31, 2025 and 2024, are as follows:

(in Korean won)	2025		2024	
	Current	Non-current	Current	Non-current
Advance payments	₩ 676,466,178	₩ -	₩ 673,255,600	₩ -
Prepaid expenses	13,899,481,809	1,593,198,884	14,559,482,458	2,017,462,617
	<u>₩ 14,575,947,987</u>	<u>₩ 1,593,198,884</u>	<u>₩ 15,232,738,058</u>	<u>₩ 2,017,462,617</u>

13. Investments in Subsidiaries, Associate and Joint Venture

(a) Investments in subsidiaries, associate and joint venture as of December 31, 2025 and December 31, 2024, are as follows:

(in Korean won)	Major business location	Primary business	Type	December 31, 2025		December 31, 2024	
				Book amount	Percentage of ownership	Book amount	Percentage of ownership
Samsung Biologics America, Inc.	United States of America	Bio-medicine business	Subsidiary	₩ 11,914,000,000	100.00%	₩ 11,914,000,000	100.00%
Samsung Bioepis Co., Ltd. ¹	Republic of Korea	Biosimilar research and commercialization	Subsidiary	-	-	3,265,179,974,094	100.00%
SVIC No.54 New Technology Business Investment L.L.P	Republic of Korea	Equity investment in the bio industry start-ups	Associate	30,634,989,000	33.00%	49,500,000,000	33.00%
SVIC No.64 New Technology Business Investment L.L.P	Republic of Korea	Equity investment in the bio industry start-ups	Associate	3,333,825,000	24.75%	1,632,262,500	24.75%
				<u>₩ 45,882,814,000</u>		<u>₩ 3,328,226,236,594</u>	

¹ As of November 1, 2025, the Company effectuated a spin-off of certain subsidiaries, including Samsung Bioepis Co., Ltd.

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- (b) Changes in investments in subsidiaries, associate and joint venture for the years ended December 31, 2025 and 2024, are as follows:

(in Korean won)

	2025				
	Beginning balance	Acquisition	Disposal ¹	Spin-Off ²	Ending balance
Samsung Biologics America, Inc.	₩ 11,914,000,000	₩ -	₩ -	₩ -	₩ 11,914,000,000
Samsung Bioepis Co., Ltd.	3,265,179,974,094	-	-	(3,265,179,974,094)	-
SVIC No.54 New Technology Business Investment L.L.P	49,500,000,000	-	(18,865,011,000)	-	30,634,989,000
SVIC No.64 New Technology Business Investment L.L.P	1,632,262,500	1,701,562,500	-	-	3,333,825,000
	₩ 3,328,226,236,594	₩ 1,701,562,500	₩ (18,865,011,000)	₩ (3,265,179,974,094)	₩ 45,882,814,000

¹ In April and August 2025, the Company partially recovered its investment in the SVIC No.54 New Technology Business Investment L.L.P and the recovered amount was deducted from the book value of the investment.

² As of November 1, 2025, the Company effectuated a spin-off of certain subsidiaries, including Samsung Bioepis Co., Ltd.

(in Korean won)

	2024				
	Beginning balance	Acquisition	Disposal ¹	Spin-Off	Ending balance
Samsung Biologics America, Inc.	₩ 11,914,000,000	₩ -	₩ -	₩ -	₩ 11,914,000,000
Samsung Bioepis Co., Ltd.	3,265,179,974,094	-	-	-	3,265,179,974,094
SVIC No.54 New Technology Business Investment L.L.P	40,260,000,000	9,240,000,000	-	-	49,500,000,000
SVIC No.64 New Technology Business Investment L.L.P	178,200,000	1,454,062,500	-	-	1,632,262,500
	₩ 3,317,532,174,094	₩ 10,694,062,500	₩ -	₩ -	₩ 3,328,226,236,594

¹ On August 13, 2024, the Company made an additional contribution of ₩ 9,240 million to SVIC No.54 New Technology Business Investment L.L.P., thereby completing the full contribution of ₩ 49,500 million originally committed at the time of its establishment.

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14. Property, Plant and Equipment

Property, plant, and equipment as of December 31, 2025 and 2024, consist of:

(in Korean won)

	2025			2024		
	Acquisition cost	Accumulated depreciation	Carrying amount	Acquisition cost	Accumulated depreciation	Carrying amount
Land	₩ 461,974,307,935	₩ -	₩ 461,974,307,935	₩ 8,028,382,410	₩ -	₩ 8,028,382,410
Buildings	3,325,606,067,554	(290,478,142,494)	3,035,127,925,060	1,775,720,846,814	(210,155,137,004)	1,565,565,709,810
Structures	12,289,343,670	(2,829,563,323)	9,459,780,347	12,289,343,670	(2,523,511,547)	9,765,832,123
Machinery	3,260,480,083,369	(1,229,583,550,958)	2,030,896,532,411	2,585,366,585,134	(998,332,936,581)	1,587,033,648,553
Vehicles	1,696,844,668	(1,432,460,364)	264,384,304	1,461,971,542	(1,267,235,970)	194,735,572
Others	162,349,448,851	(101,740,063,872)	60,609,384,979	135,123,198,346	(81,426,854,216)	53,696,344,130
Construction-in-progress	430,160,651,929	-	430,160,651,929	1,823,298,445,975	-	1,823,298,445,975
	₩ 7,654,556,747,976	₩ (1,626,063,781,011)	₩ 6,028,492,966,965	₩ 6,341,288,773,891	₩ (1,293,705,675,318)	₩ 5,047,583,098,573

Changes in property, plant and equipment for the years ended December 31, 2025 and 2024, are as follows:

(in Korean won)

	2025					
	Beginning balance	Acquisition	Disposal and others	Depreciation	Others ^{1,2}	Ending balance
Land	₩ 8,028,382,410	₩ 170,480,040	₩ -	₩ -	₩ 453,775,445,485	₩ 461,974,307,935
Buildings	1,565,565,709,810	65,724,084,602	(804,792)	(80,460,576,349)	1,484,299,511,789	3,035,127,925,060
Structures	9,765,832,123	-	-	(306,051,776)	-	9,459,780,347
Machinery	1,587,033,648,553	21,809,907,837	(5,542,105,335)	(240,658,603,108)	668,253,684,464	2,030,896,532,411
Vehicles	194,735,572	-	-	(165,224,394)	234,873,126	264,384,304
Others	53,696,344,130	8,280,000	(123,202,544)	(22,299,327,031)	29,327,290,424	60,609,384,979
Construction-in-progress	1,823,298,445,975	789,748,608,583	-	-	(2,182,886,402,629)	430,160,651,929
	₩ 5,047,583,098,573	₩ 877,461,361,062	₩ (5,666,112,671)	₩ (343,889,782,658)	₩ 453,004,402,659	₩ 6,028,492,966,965

¹ For the year ended December 31, 2025, ₩ 764 million was partially reclassified to intangible assets. In addition, for the year ended December 31, 2025, ₩ 453,769 million was transferred from right-of-use assets to land.

² For the year ended December 31, ₩ 2,182.9 billion was transferred from construction-in-progress to property, plant, and equipment.

(in Korean won)

	2024					
	Beginning balance	Acquisition	Disposal and others	Depreciation	Others	Ending balance
Land	₩ 8,028,382,410	₩ -	₩ -	₩ -	₩ -	₩ 8,028,382,410
Buildings	1,597,416,437,800	627,020	(56,177,092)	(44,121,829,635)	12,326,651,717	1,565,565,709,810
Structures	9,669,632,836	-	-	(302,690,193)	398,889,480	9,765,832,123
Machinery	1,674,301,342,320	-	(1,798,279,456)	(203,438,797,628)	117,969,383,317	1,587,033,648,553
Vehicles	185,236,206	15,460,455	(13,083,250)	(121,777,542)	128,899,703	194,735,572
Others	61,018,391,818	108,940,000	(189,100,085)	(28,095,297,363)	20,853,409,760	53,696,344,130
Construction-in-progress	192,257,666,197	1,782,060,897,255	-	-	(151,020,117,477)	1,823,298,445,975
	₩ 3,542,877,089,587	₩ 1,782,185,924,730	₩ (2,056,639,883)	₩ (276,080,392,361)	₩ 657,116,500	₩ 5,047,583,098,573

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Classification of depreciation for the years ended December 31, 2025 and 2024, are as follows:

<i>(in Korean won)</i>	2025	2024
Cost of revenue	₩ 321,242,613,139	₩ 253,807,786,000
Selling, general and administrative expenses	22,647,169,519	22,272,606,361
	<u>₩ 343,889,782,658</u>	<u>₩ 276,080,392,361</u>

For the year ended December 31, 2025, the Company has capitalized borrowing costs amounting to ₩ 835 million (2024: ₩ 18,192 million) on property, plant and equipment that are qualifying assets. The capitalization rate used to determine the amount of borrowing costs eligible for capitalization is 3.82% (2024: 3.56%).

15. Intangible Assets

Intangible assets as of December 31, 2025 and 2024, consist of:

<i>(in Korean won)</i>		December 31, 2025				
		Acquisition cost	Accumulated amortization	Accumulated impairment loss	Government grants	Carrying amount
Software	₩	120,408,206,025	₩ (77,133,442,520)	₩ -	₩ -	₩ 43,274,763,505
Others		4,647,883,258	(3,781,783,883)	-	-	866,099,375
Membership		14,667,427,182	-	(521,756,000)	-	14,145,671,182
Trademarks		300,465,541	(51,577,351)	-	-	248,888,190
Patents		1,199,096,273	(72,976,909)	-	-	1,126,119,364
Land use rights		69,525,088,429	(20,046,400,503)	-	(49,478,687,926)	-
Construction-in-progress		531,728,660	-	-	-	531,728,660
	₩	<u>211,279,895,368</u>	<u>₩ (101,086,181,166)</u>	<u>₩ (521,756,000)</u>	<u>₩ (49,478,687,926)</u>	<u>₩ 60,193,270,276</u>

<i>(in Korean won)</i>		2024				
		Acquisition cost	Accumulated amortization	Accumulated impairment loss	Government grants	Carrying amount
Software	₩	105,626,610,376	₩ (61,835,571,421)	₩ -	₩ -	₩ 43,791,038,955
Others		3,726,596,309	(3,629,697,042)	-	-	96,899,267
Membership		13,645,427,182	-	(521,756,000)	-	13,123,671,182
Trademarks		143,397,046	(33,687,875)	-	-	109,709,171
Patents		8,983,000	(1,734,650)	-	-	7,248,350
Land use rights		69,525,088,429	(18,655,898,734)	-	(50,869,189,695)	-
Construction-in-progress		8,045,728,698	-	-	-	8,045,728,698
	₩	<u>200,721,831,040</u>	<u>₩ (84,156,589,722)</u>	<u>₩ (521,756,000)</u>	<u>₩ (50,869,189,695)</u>	<u>₩ 65,174,295,623</u>

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Changes in intangible assets for the years ended December 31, 2025 and 2024, are as follows:

(in Korean won)

	2025						
	Beginning balance	Acquisition	Disposal and others	Amortization	Amortization of government grants	Others ¹	Ending balance
Software	₩ 43,791,038,955	₩ 36,812,000	₩ (3,122,500)	₩ (15,294,748,599)	₩ -	₩ 14,744,783,649	₩ 43,274,763,505
Others	96,899,267	141,600	-	(152,086,841)	-	921,145,349	866,099,375
Membership	13,123,671,182	1,022,000,000	-	-	-	-	14,145,671,182
Trademarks	109,709,171	-	-	(17,889,476)	-	157,068,495	248,888,190
Patents	7,248,350	128,623,991	-	(71,242,259)	-	1,061,489,282	1,126,119,364
Land use rights	-	-	-	(1,390,501,769)	1,390,501,769	-	-
Construction-in-progress	8,045,728,698	8,606,140,601	-	-	-	(16,120,140,639)	531,728,660
	₩ 65,174,295,623	₩ 9,793,718,192	₩ (3,122,500)	₩ (16,926,468,944)	₩ 1,390,501,769	₩ 764,346,136	₩ 60,193,270,276

¹ For the year ended December 31, 2025, ₩ 764 million was partially reclassified from construction-in-progress of tangible assets to intangible assets.

(in Korean won)

	2024						
	Beginning balance	Acquisition	Disposal and others	Amortization	Amortization of government grants	Others	Ending balance
Software	₩ 35,962,369,392	₩ 802,750,000	₩ (367,667)	₩ (12,384,275,572)	₩ -	₩ 19,410,562,802	₩ 43,791,038,955
Others	638,389,208	-	-	(541,489,941)	-	-	96,899,267
Membership	10,246,341,192	2,877,329,990	-	-	-	-	13,123,671,182
Trademarks	114,096,857	496,892	-	(14,445,798)	-	9,561,220	109,709,171
Patents	8,146,650	-	-	(898,300)	-	-	7,248,350
Land use rights	-	-	-	(1,390,501,769)	1,390,501,769	-	-
Construction-in-progress	6,811,186,590	21,311,782,630	-	-	-	(20,077,240,522)	8,045,728,698
	₩ 53,780,529,889	₩ 24,992,359,512	₩ (367,667)	₩ (14,331,611,380)	₩ 1,390,501,769	₩ (657,116,500)	₩ 65,174,295,623

Classification of amortization for the years ended December 31, 2025 and 2024, are as follows:

(in Korean won)

	2025	2024
Cost of revenue	₩ 1,716,642,020	₩ 1,985,465,301
Selling, general and administrative expenses	13,819,325,155	10,955,644,310
	₩ 15,535,967,175	₩ 12,941,109,611

Total research and development costs recognized as expense for the years ended December 31, 2025 and 2024, are as follows:

(in Korean won)

	2025		2024	
	Cost of revenue	Selling, general and administrative expenses	Cost of revenue	Selling, general and administrative expenses
Ordinary research expense	₩ -	₩ 37,181,220,139	₩ -	₩ 36,710,810,368

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16. Debenture

Debentures as of December 31, 2025 and 2024, are as follows:

(in Korean won)	2025		2024	
	Current	Non-current	Current	Non-current
Debentures	₩ 319,712,704,765	₩ 599,011,716,516	₩ -	₩ 917,756,707,992

Details of debentures as of December 31, 2025 and 2024, are as follows:

(in Korean won)	Issue date	Maturity date	Interest rate (%)	2025	2024
7-2nd public debenture (Non-guaranteed)	2021-09-03	2026-09-03	2.19	₩ 120,000,000,000	₩ 120,000,000,000
8-1st Public Debenture (Non-guaranteed)	2024-10-11	2026-10-08	3.27	200,000,000,000	200,000,000,000
8-2nd Public Debenture (Non-guaranteed)	2024-10-11	2027-10-08	3.38	600,000,000,000	600,000,000,000
Discount on debentures				(1,275,578,719)	(2,243,292,008)
				918,724,421,281	917,756,707,992
Current portion transferred				(319,712,704,765)	-
				₩ 599,011,716,516	₩ 917,756,707,992

The repayment schedule of debentures as of December 31, 2025, are as follows:

(in Korean won)	Debentures	Total
January 1, 2026 ~ December 31, 2026	₩ 320,000,000,000	₩ 320,000,000,000
January 1, 2027 ~ December 31, 2027	600,000,000,000	600,000,000,000
	₩ 920,000,000,000	₩ 920,000,000,000

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17. Trade and Other Payables

Details of trade and other payables as of December 31, 2025 and December 31, 2024, are as follows:

(in Korean won)	December 31, 2025		December 31, 2024	
	Current	Non-current	Current	Non-current
Trade payables	₩ 59,814,078,880	₩ -	₩ 173,761,470,141	₩ -
Liabilities under supplier finance arrangements ¹	13,816,198,731	-	540,599,044,293	-
Other payables	99,264,961,675	-	137,644,677,038	-
Accrued expenses	312,941,637,549	23,360,451,277	274,440,438,263	17,502,274,248
Total ²	₩ 485,836,876,835	₩ 23,360,451,277	₩ 1,126,445,629,735	₩ 17,502,274,248

¹ Liabilities under supplier finance arrangements classified as accounts payables and other payables are generally settled within 120 days (Note 30).

² Trade and other payables to related parties as of December 31, 2025 and December 31, 2024 are ₩ 39,070 million and ₩ 554,989 million, respectively (Note 31).

18. Emission Liability

(a) Emissions Allowances

The Company has been participating in Emission Trading Scheme in accordance with the Act on Allocation and Trading of Greenhouse Gas Emission since 2017. The quantity of emission allowances for the 3rd planning periods (2021 ~ 2025) allocated free of charge is as follows:

(In tCO ₂ -eq)	2021	2022	2023	2024	2025	Total
Allocated free of charge ¹	123,815	157,435	206,647	222,081	121,247	831,225

¹ Changes due to additional allocations have been reflected.

As of December 31, 2025, no emission allowances have been pledged as collateral.

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Changes in emission allowances quantities and the carrying amounts for the years ended December 31, 2025 and 2024, are as follows:

(in Korean won
and in tCO2-eq)

	2024		2025		2026 ¹	
	Quantity	Amount	Quantity	Amount	Quantity	Amount
Beginning balance and Allocated free of charge	222,081	₩ -	121,247	₩ -	278,695	₩ -
Purchase/Disposal	4,438	37,501,100	-	-	-	-
Borrowing/Carrying forward	-	-	-	-	-	-
Surrendered to the government	(226,519)	(37,501,100)	-	-	-	-
Ending Balance	-	₩ -	121,247	₩ -	278,695	₩ -

¹ This represents the quantity of emission allowances allocated for the fourth planning period.

(b) Emission liabilities

Changes in emission liabilities for the years ended December 31, 2025 and 2024, are as follows:

(in Korean won)

	2025			
	Beginning balance	Increase	Decrease	Ending balance
Emission liabilities	₩ 500,890,270	₩ 551,917,600	₩ (500,890,270)	₩ 551,917,600

(in Korean won)

	2024			
	Beginning balance	Increase	Decrease	Ending balance
Emission liabilities	₩ 863,719,120	₩ 500,890,270	₩ (863,719,120)	₩ 500,890,270

The Company estimated that it emitted 264,470 tons of carbon dioxide(tCO2-eq) for the year ended December 31, 2025.

Samsung Biologics Co., Ltd.
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19. Lease

The amounts relating to leases recognized as of December 31, 2025 and 2024 on the statement of financial position, are as follows:

<i>(in Korean won)</i>	2025	2024
Right-of-use assets¹		
Land ²	₩ -	₩ 445,964,408,073
Buildings	7,809,525,992	15,194,833,175
Vehicles	209,906,084	295,893,657
	<u>₩ 8,019,432,076</u>	<u>₩ 461,455,134,905</u>
Lease liabilities		
Current	₩ 6,994,008,665	₩ 137,063,053,812
Non-current	403,276,136	6,776,948,384
	<u>₩ 7,397,284,801</u>	<u>₩ 143,840,002,196</u>

¹ Decreases in the right-of-use assets for the year ended December 31, 2025, were ₩ 443,547 million and additions to the right-of-use assets for the year ended December 31, 2024, were ₩ 12,787 million.

² For the year ended December 31, 2025, ₩ 453,769 million was transferred to property, plant and equipment.

The amounts relating to leases recognized for the years ended December 31, 2025 and 2024, on the statement of comprehensive income, are as follows:

<i>(in Korean won)</i>	2025	2024
Statement of comprehensive income:		
Depreciation of right-of-use assets		
Land	₩ 197,060,213	₩ 331,317,547
Buildings	8,822,010,733	8,829,889,801
Machinery	-	16,710,925
Vehicles	869,889,053	831,597,803
	<u>₩ 9,888,959,999</u>	<u>₩ 10,009,516,076</u>
Interest expenses	1,772,893,991	2,399,732,879
Expense relating to variable lease payments not included in lease liabilities	3,864,583,388	3,845,429,181
Expense relating to leases of low-value assets	2,182,972,020	1,512,734,310
	<u>₩ 17,709,409,398</u>	<u>₩ 17,767,412,446</u>

Samsung Biologics Co., Ltd.
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Classification of depreciation of right-of-use assets for the years ended December 31, 2025 and 2024, is as follows:

<i>(in Korean won)</i>	2025		2024	
Cost of revenue	₩	7,057,304,525	₩	7,534,666,304
Selling, general and administrative expenses		2,831,655,474		2,474,849,772
	₩	<u>9,888,959,999</u>	₩	<u>10,009,516,076</u>

The total cash outflow from leases in relation to lease liabilities, low-value assets and variable lease payments for the years ended December 31, 2025 and 2024, were ₩ 152,733 million and ₩ 153,300 million, respectively.

20. Other Liabilities

Details of other liabilities as of December 31, 2025 and 2024, are as follows:

<i>(in Korean won)</i>	2025		2024	
	Current	Non-current	Current	Non-current
Advance receipts	₩ 1,189,846,533,432	₩ 75,640,730,780	₩ 1,023,811,904,214	₩ 58,609,112,309
Withholdings	11,611,996,403	-	8,531,118,745	-
	<u>₩ 1,201,458,529,835</u>	<u>₩ 75,640,730,780</u>	<u>₩ 1,032,343,022,959</u>	<u>₩ 58,609,112,309</u>

21. Employee Benefit

Recognized assets and liabilities for employee benefits as of December 31, 2025 and December 31, 2024, are as follows:

<i>(in Korean won)</i>		December 31, 2025	December 31, 2024
Net defined benefit liabilities (assets)	Present value of defined benefit obligations	₩ 200,985,537,662	₩ 164,997,487,534
	Fair value of plan assets	(224,281,325,241)	(176,217,215,552)
		<u>(23,295,787,579)</u>	<u>(11,219,728,018)</u>
Trade and other payables	Accrued expenses and others ¹	213,151,738,713	159,865,473,580
	Long-term accrued expenses ¹	23,360,451,277	17,502,274,248
		<u>236,512,189,990</u>	<u>177,367,747,828</u>
		<u>₩ 213,216,402,411</u>	<u>₩ 166,148,019,810</u>

¹ The amounts include the accrued compensation for annual leaves, performance bonuses, and others payable to employees.

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Changes in defined benefit liabilities (asset) for the years ended December 31, 2025 and 2024, are as follows:

(in Korean won)

	2025		
	Defined benefit obligations	Plan assets	Net defined benefit liabilities (assets)
Beginning balance	₩ 164,997,487,534	₩ (176,217,215,552)	₩ (11,219,728,018)
Included in profit or loss :			
Current service cost	33,331,306,440	-	33,331,306,440
Interest cost(income)	7,659,399,744	(8,280,780,204)	(621,380,460)
	40,990,706,184	(8,280,780,204)	32,709,925,980
Included in other comprehensive income or loss :			
Remeasurement loss (gain)			
- Actuarial loss (gain) arising from	1,767,337,214	-	1,767,337,214
Demographic assumptions	-	-	-
Financial assumptions	(5,209,283,461)	-	(5,209,283,461)
Experience adjustment	6,976,620,675	-	6,976,620,675
- Return on plan assets	-	2,840,518,207	2,840,518,207
	1,767,337,214	2,840,518,207	4,607,855,421
Others :			
- Contributions to plan assets	-	(49,465,564,112)	(49,465,564,112)
- Benefit payments	(6,605,035,550)	4,712,584,780	(1,892,450,770)
- Transfer in/out from affiliates	1,425,862,890	(257,387,890)	1,168,475,000
- Other payments	(1,590,820,610)	2,386,519,530	795,698,920
	(6,769,993,270)	(42,623,847,692)	(49,393,840,962)
Ending balance	₩ 200,985,537,662	₩ (224,281,325,241)	₩ (23,295,787,579)

(in Korean won)

	2024		
	Defined benefit obligations	Plan assets	Net defined benefit liabilities (assets)
Beginning balance	₩ 130,596,994,113	₩ (151,184,953,819)	₩ (20,587,959,706)
Included in profit or loss :			
Current service cost	28,009,901,409	-	28,009,901,409
Interest cost(income)	6,670,559,124	(7,863,913,908)	(1,193,354,784)
	34,680,460,533	(7,863,913,908)	26,816,546,625
Included in other comprehensive income or loss :			
Remeasurement loss (gain)			
- Actuarial loss (gain) arising from	9,075,230,768	-	9,075,230,768
Demographic assumptions	-	-	-
Financial assumptions	6,162,313,503	-	6,162,313,503
Experience adjustment	2,912,917,265	-	2,912,917,265
- Return on plan assets	-	2,624,924,080	2,624,924,080
	9,075,230,768	2,624,924,080	11,700,154,848
Others :			
- Contributions to plan assets	-	(25,202,846,375)	(25,202,846,375)
- Benefit payments	(8,840,869,380)	4,493,501,050	(4,347,368,330)
- Transfer in/out from affiliates	1,254,771,040	(428,079,370)	826,691,670
- Other payments	(1,769,099,540)	1,344,152,790	(424,946,750)
	(9,355,197,880)	(19,793,271,905)	(29,148,469,785)
Ending balance	₩ 164,997,487,534	₩ (176,217,215,552)	₩ (11,219,728,018)

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Details of plan assets as of December 31, 2025 and December 31, 2024, are as follows:

<i>(in Korean won)</i>		December 31, 2025		December 31, 2024
Principal-protected fixed income products, etc.	₩	224,281,325,241	₩	176,217,215,552

The allocations of total expenses related to defined benefit obligation for the years ended December 31, 2025 and 2024, are as follows:

<i>(in Korean won)</i>		2025		2024
Cost of sales	₩	24,242,160,106	₩	19,606,844,159
Selling and administrative expenses		8,200,587,549		5,908,843,314
Construction in progress		267,178,325		1,300,859,152
	₩	<u>32,709,925,980</u>	₩	<u>26,816,546,625</u>

The expense recognized for the year ended December 31, 2025 in relation to defined contribution plan was ₩ 263 million (December 31, 2024: ₩ 137 million).

22. Share Capital and Reserves

Details of share capital as of December 31, 2025 and 2024, are summarized as follows:

<i>(in Korean won, in shares)</i>		2025		2024
Number of shares authorized		500,000,000		500,000,000
Par value	₩	2,500	₩	2,500
Number of shares issued		46,290,951		71,174,000
Share capital	₩	115,727,377,500	₩	177,935,000,000

¹The Company completed a spin-off of certain subsidiaries, including Samsung Bioepis Co., Ltd., effective November 1, 2025.

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The changes in the number of issued shares and outstanding shares for the years ended December 31, 2025 and 2024 are as follows:

(in shares)	2025		2024	
	Number of Issued shares	Number of outstanding shares	Number of Issued shares	Number of outstanding shares
Beginning Balance	71,174,000	71,174,000	71,174,000	71,174,000
Spin-off	(24,883,049)	(24,883,049)	-	-
Acquisition of treasury shares	-	(51,433)	-	-
Ending Balance	46,290,951	46,239,518	71,174,000	71,174,000

Details of share premium as of December 31, 2025 and 31, 2024, are as follow:

(in Korean won)	2025		2024	
Share premium	₩	4,242,505,031,382	₩	6,523,003,969,121
Other capital surplus		(850,578,848,000)		(850,578,848,000)
	₩	3,391,926,183,382	₩	5,672,425,121,121

Details of accumulated other comprehensive loss as of December 31, 2025 and 2024, are as follow:

(in Korean won)	2025		2024	
Remeasurements of net defined benefit liabilities	₩	(22,379,618,394)	₩	(19,323,362,692)

The appropriation of retained earnings for the years ended December 31, 2025 and 2024, are as follows:

(in Korean won)	2025		2024	
Unappropriated retained earnings carried over from prior year	₩	5,036,042,966,541	₩	3,449,856,003,229
Profit for the year		3,449,856,003,229		2,398,889,502,189
Retained earnings available for appropriation		1,586,186,963,312		1,050,966,501,040
Appropriation of retained earnings		-		-
Unappropriated retained earnings to be carried forward	₩	5,036,042,966,541	₩	3,449,856,003,229

Samsung Biologics Co., Ltd.
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23. Revenue and Cost of Revenue

Details of revenue and cost of revenue for the years ended December 31, 2025 and 2024, are as follows:

<i>(in Korean won)</i>	2025	2024
Revenue:		
Product sales	₩ 4,358,255,761,337	₩ 3,380,431,080,972
Other sales	198,715,933,843	116,714,594,810
	₩ 4,556,971,695,180	₩ 3,497,145,675,782
Cost of revenue:		
Cost of product sales	₩ 1,520,368,070,583	₩ 1,409,956,335,498
Cost of other sales ¹	519,489,248,107	374,190,094,272
	₩ 2,039,857,318,690	₩ 1,784,146,429,770

¹ Cost of other sales includes loss on abnormal capacity, (reversal of) loss on valuation of inventories, etc.

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24. Selling, General and Administrative Expenses

Details of selling, general and administrative expenses for the years ended December 31, 2025 and 2024, are as follows:

<i>(in Korean won)</i>	2025	2024
Salaries	₩ 78,061,234,923	₩ 50,795,951,371
Bonuses	61,019,981,155	34,855,366,135
Retirement benefits	7,575,729,728	5,471,664,160
Employee welfare	32,850,613,471	21,723,864,000
Depreciation	18,100,009,049	18,528,957,278
Amortization	13,793,981,088	10,942,417,045
Repairs and Maintenance	15,799,446,876	12,132,036,199
Supplies Expenses	5,476,385,713	3,361,459,833
Utility Expenses	1,996,885,688	1,621,298,814
Service Fees	115,162,034,455	122,719,819,548
Training Expenses	11,978,631,303	11,852,308,730
Electronic processing expenses	11,431,612,099	29,586,732,979
Taxes and Dues	5,968,828,932	4,684,457,558
Insurance Expenses	12,555,564,429	10,437,743,873
Advertising Expenses	6,614,814,831	7,180,411,234
Bad Debt Expenses	(811,804,536)	(6,379,525,563)
Research and development expenses	37,181,220,139	36,710,810,368
Others	14,266,367,720	15,347,950,600
	<u>₩ 449,021,537,063</u>	<u>₩ 391,573,724,162</u>

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Notes to the Separate Financial Statements
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25. Expenses by Nature

Details of expenses classified by nature for the years ended December 31, 2025 and 2024, are as follows:

<i>(in Korean won)</i>		2025		2024
Changes in work-in-process and finished goods	₩	(215,761,466,354)	₩	(222,757,038,377)
Changes in costs to fulfill a contract		(57,318,145,817)		(18,539,340,681)
Raw materials and supplies used		897,325,262,252		783,149,196,632
Employee benefits		738,297,360,164		605,574,493,587
Depreciation and amortization		359,425,749,833		289,021,501,972
Supplies expenses		150,888,430,908		122,775,406,703
Utility expenses		117,564,527,671		89,627,978,570
Service fees		169,319,628,013		189,630,505,095
Repairs and Maintenance Expenses		9,6217,795,193		93,355,756,669
Others		232,919,713,890		243,881,693,762
Total cost of sales, and selling, general and administrative expenses ¹	₩	2,488,878,855,753	₩	2,175,720,153,932

¹ This refers to the sum of cost of sales and selling and administrative expenses on the statement of profit or loss.

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26. Other Income and Expenses

Details of other income for the years ended December 31, 2025 and 2024, are as follows:

<i>(in Korean won)</i>	2025	2024
Rental incomes	₩ 592,404,551	₩ 585,791,979
Fees incomes	99,287,658	194,279,338
Gain on disposal of property, plant and equipment	146,725,600	33,199,341
Gain on lease cancellation	366,916	755,665
Miscellaneous gains	5,861,000,350	3,513,289,571
	<u>₩ 6,699,785,075</u>	<u>₩ 4,327,315,894</u>

Details of other expenses for the years ended December 31, 2025 and 2024, are as follows

<i>(in Korean won)</i>	2025	2024
Donations	₩ 4,068,297,257	₩ 2,979,814,688
Loss on disposal of property, plant and Equipment	105,897,233	1,460,266,006
Loss on retirement of property, plant and Equipment	5,435,571,996	508,262,693
Loss on retirement of intangible assets	3,122,500	367,667
Miscellaneous losses	53,880,282	391,286,575
	<u>₩ 9,666,769,268</u>	<u>₩ 5,339,997,629</u>

Samsung Biologics Co., Ltd.
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27. Finance Income and Costs

Details of finance income for the years ended December 31, 2025 and 2024, are as follows:

<i>(in Korean won)</i>	2025	2024
Interest income	₩ 45,504,396,544	₩ 54,074,763,167
Gain on valuation of derivative assets	4,940,267,758	20,594,832,920
Gain on foreign currency translations	9,847,025,915	53,145,083,941
Gain on foreign currency transactions	94,902,424,424	99,828,550,914
	<u>₩ 155,194,114,641</u>	<u>₩ 227,643,230,942</u>

Details of finance costs for the years ended December 31, 2025 and 2024, are as follows:

<i>(in Korean won)</i>	2025	2024
Interest expenses	₩ 29,146,951,520	₩ 34,077,260,504
Loss on transaction of derivative assets	-	459,701,862
Loss on foreign currency translations	15,307,166,531	6,318,332,040
Loss on foreign currency transactions	96,889,345,520	104,822,887,770
	<u>₩ 141,343,463,571</u>	<u>₩ 145,678,182,176</u>

28. Income Tax Expense

Income tax expense for the years ended December 31, 2025 and 2024, are as follows:

<i>(in Korean won)</i>	2025	2024
Current income tax expense:		
Current income tax	₩ 555,152,927,967	₩ 391,795,644,066
Adjustments	(25,668,741,577)	(4,020,317,370)
Deferred tax expense:		
Temporary differences	(38,246,243,117)	(39,356,571,589)
Income taxes recognized directly in equity	1,551,599,719	2,992,632,734
Income tax expense(revenue)	<u>₩ 492,789,542,992</u>	<u>₩ 351,411,387,841</u>

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The relationship between tax expense and accounting profit for the years ended December 31, 2025 and 2024, are as follows:

<i>(in Korean won)</i>	2025		2024	
Profit before income tax	₩	2,078,976,506,304	₩	1,402,377,888,881
Income taxes at statutory tax rate		538,487,797,664		359,865,762,665
Adjustments:				
Non-deductible expense		410,947,736		135,079,116
Tax credit		(16,000,725,648)		(9,002,829,278)
Effect of change in average tax rate		(4,862,698,940)		226,696,965
Adjustments recognized during the current year		(25,668,741,577)		(871,076,236)
Others		422,963,757		1,057,754,609
Income tax expense(revenue)	₩	492,789,542,992	₩	351,411,387,841
Average effective tax rate		23.70%		25.06%

Income taxes recognized directly in other comprehensive income (loss) for the years ended December 31, 2025 and 2024, are as follows:

<i>(in Korean won)</i>		2025			
		Before Tax	Tax expense	After Tax	
Net defined benefit plan remeasurements	₩	(4,607,855,421)	₩ 1,551,599,719	₩	(3,056,255,702)

<i>(in Korean won)</i>		2024			
		Before Tax	Tax expense	After Tax	
Net defined benefit plan remeasurements	₩	(11,700,154,848)	₩ 2,992,632,734	₩	(8,707,522,114)

Samsung Biologics Co., Ltd.

Notes to the Separate Financial Statements

December 31, 2025 and 2024

Changes in deferred tax assets (liabilities) as of December 31, 2025 and 2024, are as follows:

(in Korean won)

						December 31, 2025								
	January 1, 2025		Profit or loss		Other comprehensive income		Spin-off		Net		Deferred tax assets		Deferred tax liabilities	
Accrued expenses	₩	40,545,157,462	₩	4,874,596,918	₩	-	₩	(6,542,917)	₩	45,413,211,463	₩	45,413,211,463	₩	-
Net defined benefit obligations		(2,883,470,101)		(5,023,227,347)		1,551,599,719		-		(6,355,097,729)		-		(6,355,097,729)
Loss (gain) on foreign currency translations		(11,455,617,438)		13,132,799,391		-		-		1,677,181,953		1,677,181,953		-
Inventory		15,840,288,934		5,978,563,714		-		-		21,818,852,648		21,818,852,648		-
Bad debt expenses		9,191,457,534		(391,775,613)		-		-		8,799,681,921		8,799,681,921		-
Depreciation		(3,885,635,603)		1,877,623,608		-		-		(2,008,011,995)		-		(2,008,011,995)
Provision for performance bonus		34,262,843,053		7,860,683,028		-		(28,226,721)		42,095,299,360		42,095,299,360		-
Gain from assets contributed		544,618,392		(302,112,242)		-		-		242,506,150		242,506,150		-
Accrued income		(1,698,056,587)		(263,009,045)		-		-		(1,961,065,632)		-		(1,961,065,632)
Emission liability		128,728,799		19,737,035		-		-		148,465,834		148,465,834		-
Contract assets		(93,191,702,007)		(17,528,527,343)		-		-		(110,720,229,350)		-		(110,720,229,350)
Contract liabilities		117,248,635,072		27,859,958,680		-		-		145,108,593,752		145,108,593,752		-
Lease liabilities / Right-of-use assets		48,803,758		(5,054,220)		-		-		43,749,538		43,749,538		-
Intangible asset		180,304,839		(53,669,750)		-		-		126,635,089		126,635,089		-
Loss (gain) on valuation of derivative assets		-		-		-		-		-		-		-
Derivatives valuation options		(3,959,616,061)		(1,289,996,148)		-		5,249,612,209		-		-		-
Property, Plant and Equipment		63,614,175		(51,947,479)		-		-		11,666,696		11,666,696		-
Tax credit carryforward		(211)		211		-		-		-		-		-
	₩	100,980,354,010	₩	36,694,643,398	₩	1,551,599,719	₩	5,214,842,571	₩	144,441,439,698	₩	265,485,844,404	₩	(121,044,404,706)

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(in Korean won)

							December 31, 2024		
							Net	Deferred tax assets	Deferred tax liabilities
	January 1, 2024	Profit or loss	Other comprehensive income	Spin-off					
Accrued expenses	₩ 15,363,839,312	₩ 25,181,318,150	₩ -	₩ -	₩ 40,545,157,462	₩ 40,545,157,462	₩ -		
Net defined benefit obligations	(5,311,693,604)	(564,409,231)	2,992,632,734	-	(2,883,470,101)	-	(2,883,470,101)		
Loss (gain) on foreign currency translations	5,409,170,469	(16,864,787,907)	-	-	(11,455,617,438)	-	(11,455,617,438)		
Inventory	7,869,681,252	7,970,607,682	-	-	15,840,288,934	15,840,288,934	-		
Bad debt expenses	10,625,783,919	(1,434,326,385)	-	-	9,191,457,534	9,191,457,534	-		
Depreciation	(6,781,823,388)	2,896,187,785	-	-	(3,885,635,603)	-	(3,885,635,603)		
Provision for performance bonus	30,030,227,768	4,232,615,285	-	-	34,262,843,053	34,262,843,053	-		
Gain from assets contributed	743,055,816	(198,437,424)	-	-	544,618,392	544,618,392	-		
Accrued income	(3,926,698,146)	2,228,641,559	-	-	(1,698,056,587)	-	(1,698,056,587)		
Emission liability	222,839,533	(94,110,734)	-	-	128,728,799	128,728,799	-		
Contract assets	(87,499,990,292)	(5,691,711,715)	-	-	(93,191,702,007)	-	(93,191,702,007)		
Contract liabilities	91,299,426,575	25,949,208,497	-	-	117,248,635,072	117,248,635,072	-		
Lease liabilities / Right-of-use assets	138,098,878	(89,295,120)	-	-	48,803,758	48,803,758	-		
Intangible asset	240,556,124	(60,251,285)	-	-	180,304,839	180,304,839	-		
Loss (gain) on valuation of derivative assets	(1,164,264,739)	1,164,264,739	-	-	-	-	-		
Derivatives valuation options	1,058,243,425	(5,017,859,486)	-	-	(3,959,616,061)	-	(3,959,616,061)		
Property, Plant and Equipment	158,088,597	(94,474,422)	-	-	63,614,175	63,614,175	-		
Tax credit carryforward	3,149,240,923	(3,149,241,134)	-	-	(211)	-	(211)		
	₩ 61,623,782,422	₩ 36,363,938,854	₩ 2,992,632,734	₩ -	₩ 100,980,354,010	₩ 218,054,452,018	₩ (117,074,098,008)		

The analysis of deferred tax assets and liabilities as of December 31, 2025 and 2024, is as follows:

(in Korean won)

	2025	2024
Deferred tax assets		
Deferred tax asset to be recovered after more than 12 months	₩ 108,279,596,843	₩ 95,580,084,255
Deferred tax asset to be recovered within 12 months	157,206,247,561	122,474,367,763
	265,485,844,404	218,054,452,018
Deferred tax liabilities		
Deferred tax liability to be recovered after more than 12 months	(91,207,619,171)	(82,171,534,578)
Deferred tax liability to be recovered within 12 months	(29,836,785,535)	(34,902,563,430)
	(121,044,404,706)	(117,074,098,008)
Deferred tax assets(liabilities), net	₩ 144,441,439,698	₩ 100,980,354,010

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Impact of Pillar Two Income Taxes

Under the Pillar Two legislation, the Company is liable to pay a top-up tax for the difference between their GloBE effective tax rate per jurisdiction and the 15% minimum rate. The Company conducted an assessment of potential exposure to Pillar Two corporate tax of its constituent entities based on the 2024 country-by-country reporting and their 2025 financial statements.

In most jurisdictions where the constituent entities operate, either the transitional relief provisions were met, or the effective tax rate was 15% or higher, resulting in no significant additional tax liabilities. Therefore, the Company has not recognized any amount as a current corporate tax expense related to Pillar Two legislation. Furthermore, the Company took advantage of exception regulation for the recognition and disclosure of deferred tax assets and liabilities related to Pillar Two legislation. As a result, the Company did not recognize nor disclose any deferred tax assets or liabilities associated with the Pillar Two legislation.

29. Earnings per Share

(a) Basic earnings per share

Basic earnings per share for the years ended December 31, 2025 and 2024, is calculated as follows:

<i>(in Korean won and in shares)</i>	2025	2024
Profit for the year	₩ 1,586,186,963,312	₩ 1,050,966,501,040
Weighted-average number of ordinary shares outstanding	67,010,390	71,174,000
Basic earnings per share	₩ 23,671	₩ 14,766

(b) Weighted-average number of ordinary shares outstanding

Details of change in the weighted-average number of ordinary shares outstanding for years ended December 31, 2025 and 2024, is as follows:

<i>(in share)</i>	2025	2024
Beginning number of ordinary shares issued	71,174,000	71,174,000
Treasury stock effect	(5,073)	-
Spin-off ¹	(4,158,537)	-
Weighted-average number of ordinary shares outstanding	67,010,390	71,174,000

¹ The consolidated group established Samsung Epis Holdings Co., Ltd. through a spin-off as of November 1, 2025, and as a result, acquired fractional shares arising from the spin-off as treasury shares (common shares: 51,433).

(c) Diluted earnings per share

As of December 31, 2025, diluted earnings per share is identical to basic earnings per share because there are no dilutive shares.

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30. Commitments and Contingencies

As of December 31, 2025, details of the Company's borrowings commitment with financial institutions are summarized as follows:

(in Korean won)

Financial institutions	Type	Currency	Limit	Currency	Disbursed Amount
Woori Bank	Bank overdraft	KRW	10,000,000,000	KRW	-
	B2B PLUS	KRW	5,760,000,000	KRW	-
Hana Bank	Bank overdraft	KRW	10,000,000,000	KRW	-
	Comprehensive limit	KRW	40,000,000,000	KRW	-
Shinhan Bank	General loan	KRW	17,000,000,000	KRW	-
	Bank overdraft	KRW	10,000,000,000	KRW	-
Australia and New Zealand Banking Company Limited(*)	Facility loan	KRW	120,000,000,000	KRW	-

(*) On a USD basis, the amount is USD 100 million.

As of December 31, 2025, details of guarantees provided by financial institutions are summarized as follows:

(in Korean won)

		Limit		Payment guarantee	
	Remarks	Currency	Amount	Currency	Amount
Woori Bank	Payment guarantee	KRW	9,500,000,000	KRW	2,353,894,810
Kookmin Bank	Foreign Currency payment guarantee	KRW	30,000,000,000	KRW	-
Seoul Guarantee Insurance	Performance guarantee	KRW	29,837,669,200	KRW	29,837,669,200

If the Company does not comply with the commitments below, financial institutions may require an early redemption of debenture. Details of debt covenants related to debenture with financial institutions as of December 31, 2025, are as follows:

Issuance	Face value	Financial ratio maintenance	Collateral restriction	Asset sale limit	Governance restriction
7-2nd Debenture	₩ 120 billion	Debt ratio below 300%	200% of shareholders' equity	80% of Total Assets	Maintaining a business Company subject to cross-shareholding restrictions
8-1st Debenture	₩ 200 billion	Debt ratio below 300%	200% of shareholders' equity	80% of Total Assets	Maintaining a business Company subject to cross-shareholding restrictions
8-2nd Debenture	₩ 600 billion	Debt ratio below 300%	200% of shareholders' equity	80% of Total Assets	Maintaining a business Company subject to cross-shareholding restrictions

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In connection with a lease agreement with Incheon Metropolitan city ("Incheon") related to the use of land, the Company is exempt from the full amount of rent because the Company meets the requirements for exemption of rent in accordance with the Common Property Management Ordinance of Incheon. The Company recognized an intangible asset at the fair value of the rent that is exempt from Incheon and government grant as a reduction of assets at the same value. The period of land use without payment and exemption requirement of the full amount of rent are as follows:

(i) Period

Lease terms are for a total of 50 years. The initial lease period is for 20 years from the land lease contract date, April 28, 2011, and the Company can renew the contract in successive 10-year increments.

(ii) Exemption requirement

The Company whose foreign investment amounts to more than USD 20 million for 5 years since the land lease contract date is subject to the exemption from Article 32 of Common Property Management Ordinance of Incheon. Afterwards, the foreign invested enterprises that meet the average daily employee count of above 300, is subject to exemption.

As of December 31, 2025, there are a total of 3 pending lawsuits of stock transaction damages related to the Company's accounting and disclosure (Note 35) and the total amount of litigation is ₩ 8,920 million.

There are 4 other lawsuits and the amount of litigation is ₩ 7,112 million.

Contractual obligation to purchase property, plant and equipment and intangible assets are as of December 31, 2025 are ₩ 308,461 million, of which the amount committed to related parties including Samsung E&A, Co., Ltd. is ₩ 15,619 million.

In November 2023, the Company entered into an investment agreement with a limit of total ₩ 17,820 million for SVIC No.64 New Technology Business Investment L.L.P. until November 2033.

The Company entered into the land purchase agreement with Incheon Free Economic Zone (IFEZ) for the second Bio Campus on July 18, 2022, and the purchase price is ₩ 426 billion. The Company must carry out all procedures, such as facility construction plans and approval for use, within 10 years from the enforcement date of the purchase agreement. In addition, from the effective date of the purchase agreement until the completion of the implementation of the business plan, the Company is not permitted to provide the land and facilities for the relevant purpose as collateral, such as by creating a mortgage, or to sell them to a third party. Failure to comply with this may result in the termination of the purchase agreement. During the current period, the full purchase price was paid, and the asset was reclassified to land.

Samsung Biologics Co., Ltd. **Notes to the Separate Financial Statements** **December 31, 2025 and 2024**

The Company, through its subsidiary Samsung Biologics America, Inc., is currently in the process of acquiring Human Genome Sciences Inc., which owns an active pharmaceutical ingredient manufacturing facility in the United States, from GlaxoSmithKline Holdings (America) Inc. pursuant to an agreement dated December 19, 2025. The acquisition is expected to be completed during 2026.

The Company has entered into a supplier financing agreement with financial institutions to support the cash flow of strategic suppliers. Under the agreement, the bank acquires the rights to certain trade receivables of the suppliers. After this acquisition, the Company cannot directly make early payments to the suppliers, nor can it offset the liabilities with the receivables obtained from the suppliers. However, the Company has determined that it is appropriate to continue to present the related amounts in trade payables and other payables on the statement of financial position, as the terms of the trade payables have not substantially changed.

Details of the carrying amount of liabilities under supplier financing arrangements for the years ended December 31, 2025 and 2024, are as follows.

<i>(in Korean won)</i>		2025		2024
Liabilities under supplier financing arrangements	₩	13,816,198,731	₩	540,599,044,293
Liabilities under supplier financing arrangements where financial institutions have paid the suppliers ¹		-		-

¹ There were no significant business combinations or exchange rate differences that would affect liabilities under supplier financing arrangements. Additionally, there were no non-cash changes from trade and other payables to liabilities under supplier financing arrangements as of December 31, 2025 and 2024.

The Company determined that the Company is not the party that receives cash from the financial institution. The Company considers the corresponding cash flow occurs due to financial institutions as cash outflows from operating activities.

Supplier finance commitment liabilities are short-term and their carrying amount is considered a reasonable approximation of fair value. Changes to the supplier financial agreement are as follows, and all other terms are the same as those for trade and other payables to the respective suppliers.

Range of maturity	2025	2024
Liabilities under supplier financing arrangements	Within 120 days from invoice issuance date	Within 120 days from invoice issuance date
Trade payables or other payables not part of supplier financing arrangements (same business)	Within 30 days from invoice issuance date	Within 30 days from invoice issuance date

Samsung Biologics Co., Ltd. **Notes to the Separate Financial Statements** **December 31, 2025 and 2024** ---

31. Related Parties

As of December 31, 2025, Samsung C&T Corporation is a parent company, and the percentage of ownership it has over the Company is 43.06%.

Details of related parties as of December 31, 2025, are as follows:

Relationship	Name of entity
Parent Company	Samsung C&T Corporation
Entity which has significant influence on the Company	Samsung Electronics Co., Ltd
Subsidiaries	Samsung Biologics America, Inc.
Associates	SVIC No.54 New Technology Business Investment L.L.P., SVIC No.64 New Technology Business Investment L.L.P.
Others	Samsung Bioepis Co., Ltd, SAMSUNG WELSTORY INC., SAMSUNG ELECTRONICS SALES Co., Ltd., Samoo Architects & Engineers, Samsung C&T Deutschland GmbH, Samsung Electronics America, Inc., Samsung C&T Japan Corporation
The Enterprise Company ¹	Samsung Card Co., Ltd., Samsung E&A Co., Ltd, S-1 Corporation, Samsung SDS Co., Ltd., Samsung Global Research, Multicampus Corporation, Samsung Fire & Marine Insurance Co., Ltd, Samsung Life Insurance Co., Ltd, Hotel Shilla Co., Ltd., Cheil Worldwide Inc., Samsung SECURITIES Co., Ltd, SBTM Corporation, SECUi Corp., SHP Corporation

¹ Although the entities are not the related party of the Company in accordance with K-IFRS No. 1024, the entities belong to the Business Company designated as a conglomerate to which the Company also belongs in accordance with the Monopoly Regulation and Fair-Trade Act.

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Outstanding balances with related parties as of December 31, 2025 and 2024, are as follows:

(in Korean won)

	2025					
	Receivables		Payables			
	Trade receivables	Other receivables	Other payables and others	Advance receipts	Contract liabilities	
Parent Company						
Samsung C&T Corp.	₩	- ₩	3,432,000 ₩	59,452,800 ₩	- ₩	-
Entity which has significant influence						
Samsung Electronics Co., Ltd		-	-	12,378,438,601	-	-
Subsidiaries						
Samsung Biologics America, Inc.		-	166,120,511	1,308,515,601	-	-
Others						
Samsung Bioepis Co., Ltd.	30,138,121,351	32,022,798	-	44,172,152,086	53,003,379,736	
SAMSUNG WELSTORY INC.	-	-	1,567,103,686	-	-	-
SAMSUNG ELECTRONICS SALES Co., Ltd.	-	-	11,419,400	-	-	-
Samoo Architects & Engineers	-	-	-	-	-	-
Samsung C&T Deutschland GmbH	-	-	354,090,037	-	-	-
Samsung Electronics America, Inc.	-	-	99,049,712	-	-	-
The Enterprise Company						
Samsung E&A Co., Ltd	-	-	8,037,388,700	-	-	-
S-1 Corporation	-	34,584,000	3,085,804,524	-	-	-
Samsung SDS Co., Ltd.	-	73,711,000	10,602,973,659	-	-	-
Others ¹	-	116,683,113	1,565,642,311	-	-	-
	₩ 30,138,121,351	₩ 426,553,422	₩ 39,069,879,031	₩ 44,172,152,086	₩ 53,003,379,736	

¹ Transactions with Samsung Card Co., Ltd., Samsung Global Research, Samsung Fire & Marine Insurance Co., Ltd., Cheil Worldwide Inc., Multicampus Corporation, SHP Corporation are included.

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(in Korean won)

	2024					
	Receivables			Payables		
	Trade receivables	Other receivables	Other payables and others	Advance receipts	Contract liabilities	
Parent Company						
Samsung C&T Corp.	₩	- ₩	- ₩	69,102,000 ₩	- ₩	-
Entity which has significant influence						
Samsung Electronics Co., Ltd		-	-	9,457,502,996	-	-
Subsidiaries						
Samsung Biologics America, Inc.		-	170,319,860	1,368,978,910	-	-
Samsung Bioepis Co., Ltd.	80,125,024,402	44,149,747	-	33,884,806,718	35,333,657,991	
Associate						
Aimed Bio Inc.		-	-	258,721,276	-	7,900,116
Others						
SAMSUNG WELSTORY INC.		-	-	1,552,560,996	-	-
SAMSUNG ELECTRONICS SALES Co., Ltd.		-	-	53,078,000	-	-
Samoo Architects & Engineers		-	-	7,700,000	-	-
Samsung C&T Deutschland GmbH		-	-	217,517,506	-	-
Samsung Electronics America, Inc.		-	-	54,100,410	-	-
The Enterprise Company						
Samsung E&A Co., Ltd		-	-	520,024,076,000	-	-
S-1 Corporation		-	-	8,808,665,636	-	-
Samsung SDS Co., Ltd.		-	28,994,000	11,569,814,858	-	-
Others ¹		-	89,382,717	1,546,689,910	-	-
	₩ 80,125,024,402	₩ 332,846,324	₩ 554,988,508,498	₩ 33,884,806,718	₩ 35,341,558,107	

¹ Transactions with Samsung Card Co., Ltd., Samsung Global Research, Samsung Fire & Marine Insurance Co., Ltd., Cheil Worldwide Inc., SBTM Corporation, Multicampus Corporation, and SHP Corporation are included.

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Significant transactions which occurred in the normal course of business with related parties for the years ended December 31, 2025 and 2024, are as follows:

(in Korean won)

(in Korean won)

	2025									
	Revenue				Expenses				Asset acquisition	
	Sales		Others		Service fees		Others			
Parent Company										
Samsung C&T Corp.	₩	-	₩	3,120,000	₩	906,860,000	₩	373,151,928	₩	-
Entity which has significant influence										
Samsung Electronics Co., Ltd		-		-		10,075,205,630		72,747,848		725,000,000
Subsidiaries										
Samsung Biologics America, Inc.		-		101,585,117		12,944,942,052		-		722,642,579
Others										
Samsung Bioepis Co., Ltd.	277,382,226,790			-		-		-		-
SAMSUNG WELSTORY INC.		-		18,914,950		-		16,791,371,115		-
SAMSUNG ELECTRONICS SALES Co., Ltd.		-		23,100,000		-		122,518,179		-
Samoo Architects & Engineers		-		-		98,000,000		-		-
Samsung C&T Deutschland GmbH		-		-		-		1,797,507,868		-
Samsung C&T Japan Corporation		-		-		-		-		-
Samsung Electronics America, Inc.		-		-		349,102,495		-		-
The Enterprise Company										
SAMSUNG E&A CO.,LTD		-		-		17,140,640,000		10,000,000,000		525,005,170,741
S-1 CORPORATION		-		35,160,000		9,962,546,600		965,289,200		2,555,444,511
SAMSUNG SDS CO., LTD.		-		147,512,136		24,647,546,186		22,880,790,254		555,380,800
SAMSUNG FIRE & MARINE INSURANCE CO.,LTD ¹		-		1,186,661,297		4,464,000		11,099,660,116		-
Samsung Life Insurance co., Ltd ¹		-		1,224,779,914		-		116,435,253		-
SAMSUNG SECURITIES CO.,LTD ¹		-		1,288,186,509		894,257,760		-		-
Samsung Global Research		-		-		2,648,314,555		5,141,533,509		-
Others ²		-		31,058,139		189,697,137		3,088,127,886		-
	₩	277,382,226,790	₩	4,060,078,062	₩	79,861,576,415	₩	72,449,133,156	₩	529,563,638,631

¹ Other revenue includes actual return on plan assets recognized as deduction of retirement benefits. As of December 31, 2025, the Company deposited ₩ 42,147 million (2024: ₩ 38,320 million) in Samsung Fire & Marine Insurance Co., Ltd, ₩ 45,918 million (2024: ₩ 35,282 million) in Samsung Life Insurance Co., Ltd, and ₩ 48,711 million (2024: ₩ 39,909 million) in Samsung SECURITIES Co., Ltd as plan assets.

² It includes transactions with Samsung Card Co., Ltd., Multicampus Corporation, Cheil Worldwide Inc., SBTM Corporation, SECUi Corp., Hotel Shilla Co., Ltd., SHP Corporation.

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(in Korean won)

	2024					
	Revenue		Expenses		Asset acquisition	
	Sales	Others	Service fees	Others		
Parent Company						
Samsung C&T Corp.	₩	- ₩	- ₩	920,980,000 ₩	210,175,454 ₩	11,960,000 ₩
Entity which has significant influence						
Samsung Electronics Co., Ltd.		-	-	7,738,512,865	19,555,997	122,272,727
Subsidiaries						
Samsung Biologics America, Inc.		-	1,780,462,325	13,819,924,486	-	1,229,834,694
Samsung Bioepis Co., Ltd.	487,523,553,090		-	-	-	-
Associates						
Aimed Bio Inc.	347,005,732	-	-	1,211,129,840		-
Others						
SAMSUNG WELSTORY INC.	-	22,294,755	-	16,081,629,020		-
SAMSUNG ELECTRONICS SALES Co., Ltd.	-	23,100,000	-	149,461,818		-
Samoo Architects & Engineers	-	-	222,000,000	-		120,000,000
Samsung C&T Deutschland GmbH	-	-	-	2,359,886,448		-
Samsung C&T Japan Corporation	-	-	-	995,641,920		-
Samsung Electronics America, Inc.	-	-	105,967,272	100,377,730		-
The Enterprise Company						
SAMSUNG E&A CO.,LTD	-	-	-	20,800,000,000		1,439,924,906,848
S-1 CORPORATION	-	-	38,136,818,510	5,064,409,750		1,872,263,960
SAMSUNG SDS CO., LTD.	-	37,121,914	36,827,306,334	36,371,767,119		5,329,512,363
SAMSUNG FIRE & MARINE INSURANCE CO.,LTD ¹	-	1,122,269,654	4,128,000	13,024,000,939		-
Samsung Life Insurance co., Ltd ¹	-	1,056,289,712	-	115,011,206		-
SAMSUNG SECURITIES CO.,LTD ¹	-	1,357,153,719	301,078,078	-		-
Samsung Global Research	-	-	2,214,360,000	3,959,458,900		-
Others ²	-	30,317,188	230,691,016	2,944,370,904		1,561,937,102
	₩ 487,870,558,822	₩ 5,429,009,267	₩ 100,521,766,561	₩ 103,406,877,045	₩ 1,450,172,687,694	

¹ Other revenue includes actual return on plan assets recognized as deduction of retirement benefits.

² It includes transactions with Samsung Card Co., Ltd., Multicampus Corporation, Cheil Worldwide Inc., SBTM Corporation, SECUi Corp., Hotel Shilla Co., Ltd., SHP Corporation.

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The compensation paid or payable to key management for employee services for the years ended December 31, 2025 and 2024, are as follows:

<i>(in Korean won)</i>		2025		2024
Short-term employee benefits	₩	7,307,471,790	₩	8,723,133,354
Long-term employee benefits		9,907,604,357		5,336,649,094
Retirement benefits		526,601,617		558,735,462
	₩	<u>17,741,677,764</u>	₩	<u>14,618,517,910</u>

Key management refers to the registered directors (including non-executives). Compensation of the Company's key management personnel includes salaries, non-cash benefits, and contributions to a post-employment defined benefit plan. In addition, the Company has granted long-term incentives to the Company's key management personnel based on its three-year management performance. The estimated amount of liabilities arising from such incentives are recognized as accrued expenses and long-term accrued expenses.

Financing transactions with related parties for the years ended December 31, 2025 and 2024, are as follows:

<i>(in Korean won)</i>		2025		2024	Description
Associates and joint ventures					
SVIC No.54 New Technology Business Investment L.L.P.	₩	(18,865,011,000)	₩	9,240,000,000	Return of Capital and Equity contribution in cash
SVIC No.64 New Technology Business Investment L.L.P.		1,701,562,500		1,454,062,500	Equity contribution in cash

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32. Statements of Cash Flows

The Company has prepared the cash flows from operating activities using the indirect method. The adjustments related to cash flows from operating activities and the changes in assets and liabilities due to operating activities for the current and previous years are as follows.

<i>(in Korean won)</i>	2025	2024
Cash flows from operating activities	₩ 2,389,802,786,032	₩ 1,626,876,840,177
Profit for the year	1,586,186,963,312	1,050,966,501,040
Adjustments for:		
Retirement benefits	32,709,925,980	26,816,546,625
Depreciation	343,889,782,658	276,080,392,361
Amortization of intangible assets	15,535,967,175	12,941,109,611
Depreciation of right-of-use assets	9,888,959,999	10,009,516,076
Loss (reversal) on valuation of inventories	19,800,142,921	56,337,146,551
Impairment loss on contract assets	10,696,679,566	885,334,551
Loss on retirement of property, plant and equipment	5,435,571,996	508,262,693
Gain on disposal of property, plant and equipment	(146,725,600)	(33,199,341)
Loss on disposal of property, plant and equipment	105,897,233	1,460,266,006
Loss on retirement of Intangible assets	3,122,500	367,667
Gain on foreign currency translation	(9,847,025,915)	(53,145,083,941)
Loss on foreign currency translation	15,307,166,531	6,318,332,040
Gain on valuation of derivatives	(4,940,267,758)	(20,594,832,920)
Carbon Emission expense	551,917,600	500,890,270
Interest income	(45,504,396,544)	(54,074,763,167)
Interest expense	29,146,951,520	34,077,260,504
Bad debt expense(reversal)	(811,804,536)	(6,379,525,563)
Income tax expense	492,789,542,992	351,411,387,841
Others	(2,670,799,234)	(2,040,473,694)
	<u>911,940,609,084</u>	<u>641,078,934,170</u>
Change in operating assets and liabilities:		
Decrease (Increase) in Trade and other receivables	116,969,943,591	(366,883,860,488)
Decrease (Increase) in Inventories	(264,684,258,962)	(260,647,574,753)
Decrease (Increase) in Deposits provided	9,478,276,269	755,961,000
Decrease (Increase) in Contract assets	(58,874,337,390)	(20,334,400,541)
Decrease (Increase) in Other assets	1,078,653,373	6,562,252,432
Increase (Decrease) in Trade and other payables	(130,966,540,009)	210,359,375,052
Increase (Decrease) in Contract liabilities	83,216,781,569	102,346,623,515
Increase (Decrease) in Emission liabilities	(500,890,270)	(863,719,120)
Increase (Decrease) in Advance receipts	183,066,247,689	291,607,727,297
Increase (Decrease) in Other liabilities	3,080,877,658	499,418,608
Retirement benefits paid	(1,892,450,770)	(4,347,368,330)
Transfer in/out of related parties' defined benefit obligations	1,168,475,000	979,816,670
Changes in plan assets	(49,465,564,112)	(25,202,846,375)
	<u>(108,324,786,364)</u>	<u>(65,168,595,033)</u>

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Significant transactions not involving cash flows of investing and financing activities for the years ended December 31, 2025 and 2024, are as follows:

(in Korean won)	2025	2024
Spin-off	₩ 3,265,386,872,962	₩ -
Other payables due to acquisition of property, plant and equipment and intangible assets	41,073,653,009	540,494,435,717
Transfer of construction-in-progress to property, plant and equipment and intangible assets	2,199,006,543,268	171,097,357,999
Changes in Right-of-Use Assets and Lease Liabilities ¹	(444,964,623,573)	8,789,483,266

¹ The right-of-use assets that were replaced by land during the year ended December 31, 2025 amount to ₩ 453,769 million (see Note 14).

Changes in liabilities arising from financial activities for the years ended December 31, 2025 and 2024, are as follows:

(in Korean won)	2025					
	Current portion of debentures	Debentures	Short-Term Borrowings	Current Portion of Long-Term Borrowings	Lease liabilities	Total
Beginning Balance	₩ -	₩ 917,756,707,992	₩ -	₩ -	₩ 143,840,002,196	₩ 1,061,596,710,188
Changes from Financing Cash Flows:						
Issuance of debentures	-	-	-	-	-	-
Repayments of Borrowings	-	-	-	-	-	-
Redemption of debentures	-	-	-	-	-	-
Principal Repayment of Lease Liabilities	-	-	-	-	(145,246,842,617)	(145,246,842,617)
Others:						
Reclassification of long-term to current portion	319,578,037,992	(319,578,037,992)	-	-	-	-
Bond Discount Amortization	134,666,773	833,046,516	-	-	-	967,713,289
Lease Changes	-	-	-	-	8,804,125,222	8,804,125,222
Ending Balance	₩ 319,712,704,765	₩ 599,011,716,516	₩ -	₩ -	₩ 7,397,284,801	₩ 926,121,706,082

(in Korean won)	2024					
	Current portion of debentures	Debentures	Short-Term Borrowings	Current Portion of Long-Term Borrowings	Lease liabilities	Total
Beginning Balance	₩ 379,723,014,266	₩ 119,782,549,508	₩ 220,000,000,000	₩ 208,682,000,000	₩ 278,203,961,170	₩ 1,206,391,524,944
Changes from Financing Cash Flows:						
Issuance of debentures	-	797,659,176,800	-	-	-	797,659,176,800
Repayments of Borrowings	-	-	(220,000,000,000)	(208,682,000,000)	-	(428,682,000,000)
Redemption of debentures	(380,000,000,000)	-	-	-	-	(380,000,000,000)
Principal Repayment of Lease Liabilities	-	-	-	-	(143,153,442,240)	(143,153,442,240)
Others:						
Reclassification of long-term to current portion	-	-	-	-	-	-
Bond Discount Amortization	276,985,734	314,981,684	-	-	-	591,967,418
Lease Changes	-	-	-	-	8,789,483,266	8,789,483,266
Ending Balance	₩ -	₩ 917,756,707,992	₩ -	₩ -	₩ 143,840,002,196	₩ 1,061,596,710,188

Samsung Biologics Co., Ltd.

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The Company, following a board resolution on January 28, 2022, entered into a share purchase agreement to acquire 10,341,852 shares of Samsung Bioepis Co., Ltd. held by Biogen Therapeutics Inc., with a total purchase price of USD 2,300,000,000 (including a contingent consideration of USD 50,000,000). There was no cash outflow related to the acquisition of investment shares in the relevant subsidiaries during the current period, while the cash outflow for the prior period amounted to USD 437,500,000. The related payment obligation was transferred to Samsung Epis Holdings Co., Ltd. in accordance with the spin-off.

33. Financial Risk Management

The Company is exposed to credit risk, liquidity risk, and market risk in connection with its financial instruments. This note presents information about the Company's exposure to each of the above risks, the Company's objectives, policies and processes for measuring and managing risks, and the Company's management of capital. Further quantitative disclosures are included throughout these condensed financial statements.

(a) Financial risk management

The Company's risk management policies are established to identify and analysis the risks faced by the Company, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Company's activities. The Company, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations. The Board of Directors oversees how management monitors compliance with the Company's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Company.

(b) Credit risk

Credit risk is the risk of financial loss to the Company if a customer or counterparty to a financial instrument fails to meet its contractual obligations and arises principally from the Company's receivables from customers. The carrying amount of financial assets represents the maximum credit exposure. The maximum exposures to credit risk as of December 31, 2025 and December 31, 2024, are as follows:

(in Korean won)	December 31, 2025		December 31, 2024	
Cash and cash equivalents	₩	141,484,622,864	₩	299,588,328,642
Short-term financial instruments		1,300,000,000,000		900,000,000,000
Long-term financial instruments		6,000,000		6,000,000
Trade and other receivables		667,529,471,127		705,368,567,915
Deposits provided		39,654,238,207		48,485,224,131
Contract assets - unbilled		21,386,327,960		29,718,734,645
	₩	2,170,060,660,158	₩	1,983,166,855,333

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The Company applies the simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade and other receivables and contract assets.

As contract assets share similar risk characteristics with trade and other receivables arising from the same type of contracts, the Company has determined that the loss rates for trade and other receivables represent a reasonable estimate of the loss rates for contract assets.

The Company applies expected credit loss rates considering the forward-looking estimates and probability of default in prior periods for customers with objective evidence of impairment. The Company considered that there was evidence of impairment if any of the following indicators were present:

- Significant financial difficulties of the debtor
- Probability that the debtor will enter bankruptcy or financial reorganization, and
- Default or delinquency in payments

On that basis, the loss allowance as of December 31, 2025 and 2024 was determined as follows for both trade and other receivables and contract assets:

(in Korean won)

(in Korean won)	2025							
		Past due						
	Current	Less than 1 month	1 - 3 months	3 - 6 months	6 - 12 months	More than 12 months		Total
Expected Loss Rate	0.67%	0.00%	0.00%	0.010	15.90%	99.99%		5.31%
Gross Carrying Amount – Trade Receivables	₩ 520,826,521,057	₩ 123,615,455,907	₩ 10,763,304,316	₩ 745,702,707	₩ 532,038,722	₩ 34,639,428,559	₩	691,122,451,268
Gross Carrying Amount – Other Receivables	13,000,697,154	2,797,000	125,000	-	-	136,467,131		13,140,086,285
Gross Carrying Amount – Unbilled Contract Assets	23,263,752,387							23,263,752,387
Allowance for Expected Credit Losses	(3,745,051,497)	(435,493)	-	(7,202,505)	(84,578,113)	(34,773,223,245)		(38,610,490,853)

(in Korean won)

(in Korean won)

2024														
			Past due						Total					
			Current	Less than 1 month	1 - 3 months	3 - 6 months	6 - 12 months			More than 12 months				
Expected Loss Rate		0.55%		0.21%	30.6%		1.14%	10.78%	99.65%	4.58%				
Gross Carrying Amount – Trade Receivables	₩	672,663,732,259	₩	21,766,956,919	₩	25,483,766	₩	2,695,497,678	₩	396,651,445	₩	34,913,018,958	₩	732,461,341,025
Gross Carrying Amount – Other Receivables		95,869,818,806		5,486,580		-		14		21,753,809		136,467,131		96,033,526,340
Gross Carrying Amount – Unbilled Contract Assets		32,319,345,183		-		-		-		-		-		32,319,345,183
Allowance for Expected Credit Losses		(4,368,275,829)		(45,408,372)		(7,797,371)		(30,630,472)		(45,100,551)		(34,925,082,794)		(39,422,295,389)

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Movements in the loss allowance provision for trade and other receivables and contract assets for the years ended December 31, 2025 and 2024, are as follows:

(in Korean won)	Trade Receivables		Other Receivables		Contract Assets	
	2025	2024	2025	2024	2025	2024
Beginning Balance	₩ (36,461,519,034)	₩ (44,996,121,608)	₩ (360,165,817)	₩ (386,697,749)	₩ (2,600,610,538)	₩ (3,543,448,595)
Provision	(232,509,000)	(93,373,621)	(435,493)	-	(396,864,805)	(73,999,613)
Reversal	299,804,216	5,503,529,195	21,758,702	26,531,932	1,120,050,916	1,016,837,670
Write-off	-	3,124,447,000	-	-	-	-
Ending Balance	₩ (36,394,223,818)	₩ (36,461,519,034)	₩ (338,842,608)	₩ (360,165,817)	₩ (1,877,424,427)	₩ (2,600,610,538)

(c) Liquidity risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or other financial assets. The Company's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when they are due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Company's reputation.

The ultimate responsibility for liquidity risk management remains with the Board of Directors, who establishes fundamental policies to adequately manage short-term, medium-and long-term financing and liquidity management regulations. To maintain adequate liquidity, the Company manages liquidity risk by periodically forecasting and adjusting its capital balance.

The following are the contractual maturities of financial liabilities as of December 31, 2025 and December 31, 2024, including estimated interest payments and excluding the impact of netting agreements. The Company does not expect that the cash flows included in the maturity analysis could occur significantly earlier or at different amounts.

(in Korean won)	December 31, 2025				
	Book amount	Contractual cash flows	Less than 1 year	1-2 years	2-3 years
Trade and other payables ¹	₩ 272,685,138,122	₩ 272,685,138,122	₩ 272,685,138,122	₩ -	₩ -
Lease liabilities	7,397,284,801	7,655,612,762	7,241,949,190	406,370,839	7,292,733
Debentures	918,724,421,281	962,706,780,274	347,093,958,356	615,612,821,918	-
	₩ 1,198,806,844,204	₩ 1,243,047,531,158	₩ 627,021,045,668	₩ 616,019,192,757	₩ 7,292,733

¹ Trade and other payables include liabilities under supplier financing arrangements. The financial institutions involved in the supplier financing arrangements maintain sound financial positions, and the Company is not subject to significant liquidity risk concentration related to these institutions (Note 30.(9)).

Samsung Biologics Co., Ltd.

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(in Korean won)

(in Korean won)		December 31, 2024									
		Book amount		Contractual cash flows		Less than 1 year		1-2 years		2-3 years	
Trade and other payables ¹		₩	966,580,156,155	₩	966,580,156,155	₩	966,580,156,155	₩	-	₩	-
Lease liabilities			143,840,002,196		143,642,727,482		136,636,561,352		7,006,166,130		-
Debentures			917,756,707,992		992,165,580,274		29,458,800,000		347,093,958,356		615,612,821,918
		₩	2,028,176,866,343	₩	2,102,388,463,911	₩	1,132,675,517,507	₩	354,100,124,486	₩	615,612,821,918

¹ Trade and other payables include liabilities under supplier financing arrangements. The financial institutions involved in the supplier financing arrangements maintain sound financial positions, and the Company is not subject to significant liquidity risk concentration related to these institutions (Note 30.(9)).

(d) Currency risk

The Company is exposed to currency risk on sales, purchases, and borrowings. The currencies in which these transactions primarily are denominated are USD and so forth. The Company establishes a plan to manage currency risk through currency forwards and so forth, if considered necessary.

(i) Exposure to currency risk

The Company's exposure to foreign currency risk as of December 31, 2025 and December 31, 2024, are as follows:

(in Korean won)

(in Korean won)	December 31, 2025									
	USD		EUR		CHF		JPY		GBP	
Assets :										
Cash equivalents	₩	70,098,211,301	₩	-	₩	-	₩	-	₩	-
Trade and other receivables		655,990,462,815		329,578,489		-		170,776,779		1,901,019,861
Contract assets		23,470,821,234		-		-		-		-
		749,559,495,350		329,578,489		-		170,776,779		1,901,019,861
Liabilities :										
Trade and other payables		14,676,741,016		2,678,036,930		-		132,738,740		602,281,744
	₩	734,882,754,334	₩	(2,348,458,441)	₩	-	₩	38,038,039	₩	1,298,738,117

(in Korean won)

(in Korean won)	December 31, 2024									
	USD		EUR		CHF		JPY		GBP	
Assets :										
Cash equivalents	₩	16,089,267,026	₩	-	₩	-	₩	-	₩	-
Trade and other receivables		644,901,847,758		17,288,998		226,620,821		-		463,476,267
Contract assets		29,129,360,797		-		-		-		-
		690,120,475,581		17,288,998		226,620,821		-		463,476,267
Liabilities :										
Trade and other payables		69,871,620,463		495,079,595		41,835,722		10,616,969		26,982,390
	₩	620,248,855,118	₩	(477,790,597)	₩	184,785,099	₩	(10,616,969)	₩	436,493,877

Samsung Biologics Co., Ltd.
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(ii) The significant exchange rates applied for the year ended December 31, 2025 and the year ended December 31, 2024, are as follows:

(in Korean won)	2025				2024			
	Average rate		December 31, 2025		Average rate		December 31, 2024	
USD	₩	1,421.89	₩	1,434.90	₩	1,363.09	₩	1,470.00
EUR		1,605.82		1,685.72		1,474.76		1,528.73
CHF		1,714.37		1,811.97		1,548.74		1,626.38
JPY(100 ¥)		950.83		917.63		900.76		936.48
GBP		1,873.91		1,932.31		1,742.08		1,843.67

(iii) Sensitivity analysis

The Company internally assesses the currency risk against changes in exchange rate fluctuations regularly. The table below summarizes the impact of weakened/strengthened Korean won on the Company's income before tax for the year. The analysis is based on the assumption that Korean won has weakened/strengthened by 10% with all other variables held constant.

(in Korean won)	December 31, 2025				December 31, 2024			
	10% increase		10% decrease		10% increase		10% decrease	
USD	₩	73,488,275,433	₩	(73,488,275,433)	₩	62,024,885,512	₩	(62,024,885,512)
EUR		(234,845,844)		234,845,844		(47,779,060)		47,779,060
CHF		-		-		18,478,510		(18,478,510)
JPY(100 ¥)		3,803,804		(3,803,804)		(1,061,697)		1,061,697
GBP		129,873,812		(129,873,812)		43,649,388		(43,649,388)

(e) Capital management

The Company's capital management is for the purpose of maximizing the shareholders' interest by maintaining an optimal capital structure. To achieve optimal capital structure, the Company may improve financial structure monitoring financial ratios, such as debt-to-equity ratio.

The debt-to-equity ratio as of December 31, 2025 and December 31, 2024, are as follows:

(in Korean won)	December 31, 2025		December 31, 2024	
Total liabilities (A)	₩	3,608,519,898,043	₩	4,036,318,163,152
Total equity (B)		7,415,448,837,573		9,280,892,761,658
Debt-to-equity ratio (A/B)		48.66%		43.49%

Samsung Biologics Co., Ltd.

Notes to the Separate Financial Statements

December 31, 2025 and 2024

34. Spin-off

The Company resolved on May 22, 2025 to spin off Samsung Bioepis Co., Ltd. in order to concentrate its capabilities on specialized business areas and to enhance sustainable growth potential. Following approval of the agenda item at the shareholders' meeting on October 17, 2025, the Company carried out a human spin-off with Samsung Epis Holdings Co., Ltd. established as a newly incorporated entity, with the effective date of November 1, 2025.

(a) Key details of the spin-off

Category	Description
Method of spin-off	Human spin-off
Surviving entity	Samsung Biologics Co., Ltd.
Newly established entity	Samsung Epis Holdings Co., Ltd.
Effective date of spin-off	November 1, 2025

(b) Changes in Assets and Liabilities Resulting from the Spin-off

<i>(in Korean won)</i>		November 1, 2025
Current assets	₩	100,000,000,000
Non-current assets		3,259,965,131,523
Total assets		3,359,965,131,523
Current liabilities		3,205,658,290
Non-current liabilities		197,355,195
Total liabilities		3,403,013,485
Net assets		3,356,562,118,038

In accordance with Article 530-9, Paragraph 1 of the Korean Commercial Act, the surviving company and the newly established company are jointly and severally liable for certain liabilities of the company prior to the spin-off.

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35. Ruling of the Securities and Futures Commission in relation to the accounting for investment in Samsung Bioepis Co., Ltd., the related administrative lawsuit and the indictment

On July 12, 2018, the Securities & Futures Commission (“SFC”) imposed the first administrative measures in accordance with the Act on External Audit of Stock Companies against the Company for alleged failure to disclose sufficient information in the Company’s Financial Statements from 2012 to 2015 regarding the Group’s joint venture agreement with Biogen Therapeutics Inc. The measures (“First measures”) included i) compulsory designation of external auditors for three years; ii) recommendation of dismissal of the Group’s executives in charge; and iii) prosecution against the Group and its representative director (CEO). On November 14, 2018, the SFC imposed the second administrative measures in accordance with the Act on External Audit of Stock Companies against the Group for violation of accounting standards by inappropriately applying separate method regarding investments in Samsung Bioepis from 2012 to the first half of 2018. The measures (“Second measures”) included i) compulsory designation of external auditors for three years; ii) recommendation of dismissal of the Group’s representative director (CEO) and executives in charge; iii) referral of the case against the Group and its representative director (CEO) to the Prosecutors Office; iv) retrospective restatement of financial statements; and v) imposition of administrative fine of 8 billion won on November 21, 2018.

The Group filed a complaint for the cancellation of the measures taken by the Securities and Futures Commission and the Financial Services Commission on October 8, 2018 (first measure) and November 27, 2018 (second measure) to substantiate the legitimacy of the accounting treatment. The cancellation lawsuit for the first measure has been finalized, while the cancellation lawsuit for the second measure is ongoing.

Regarding the cancellation lawsuit related to the first measure, on September 24, 2020, the Seoul Administrative Court ruled to revoke the administrative disposition imposed on the company by the Securities and Futures Commission and decided to suspend the effect of the disposition until the appellate court ruling. However, on October 16, 2020, the Securities and Futures Commission appealed the first instance ruling. On June 11, 2025, the Seoul High Court dismissed the appeal by the Securities and Futures Commission, and although the Commission filed an appeal against the ruling on June 30, 2025, the Supreme Court dismissed the appeal on September 25, 2025, thereby finalizing the full acceptance of the company’s cancellation claim. Regarding the cancellation lawsuit related to the second measure, on August 14, 2024, the Seoul Administrative Court ruled to revoke the administrative disposition imposed on the company by the Securities and Futures Commission. However, on August 28, 2024, the Securities and Futures Commission appealed the first-instance ruling, and the lawsuit is currently ongoing at the Seoul High Court.

In addition, the Group submitted requests for suspension of measures by SFC on November 27, 2018 and December 18, 2018, to the Court. The Supreme Court affirmed the suspension of the Second and First measures, on December 6, 2019 and October 11, 2019, respectively.

Samsung Biologics Co., Ltd.
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Administrative lawsuits are in progress relating to the SFC's measures, and it is not possible to predict the outcome of the administrative lawsuits. However, if the Company loses the administrative lawsuits, the consolidated financial statements from 2012 to 2022 could potentially be restated.

If the Company's financial statements are restated in accordance with the SFC's measures, there is no effect on the Group's consolidated financial statements in 2025.

With respect to this matter, the investigation by the prosecutor against the Company's former CEO, CFO and others for alleged violation of the Act on External Audit of Stock Companies, the Financial Investment Services and Capital Market Act, the Act on the Aggregated Punishment, Etc. of Specific Economic Crimes, and the allegations of evidence destruction under Criminal Act was carried out. In 2021, the Group's former CEO and CFO were indicted for alleged violation of the Act on External Audit of Stock Companies, alleged violation of the Act on the Aggregated Punishment, Etc. of Specific Economic Crimes, and the allegations of document destruction under Criminal Act.

On February 5, 2024, the Seoul Central District Court acquitted to the Company's former CEO and CFO on charges of violation of the Act on External Audit of Stock Companies, and the prosecutor appealed the Court's acquittal on February 8, 2024. On February 3, 2025, the Seoul High Court dismissed the prosecution's appeal. Subsequently, on February 7, 2025, the prosecution filed an appeal to the Supreme Court against the appellate court's decision. On July 17, 2025, the Supreme Court dismissed the prosecution's appeal, thereby finalizing the acquittal of the former CEO and former CFO. In addition, on February 14, 2024, the Seoul Central District Court acquitted to the Group's former CEO and CFO for alleged violation of the Act on the Aggregated Punishment, Etc. of Specific Economic Crimes, and the allegations of evidence destruction under Criminal Act. With respect to the allegations of evidence destruction, the former CEO was acquitted, and the CFO received suspended sentence. The prosecutor appealed the Court's first trial on February 20, 2024, and the CFO who received suspended sentence appealed the Court's first trial on February 21, 2024.

On December 9, 2019, employees of the company and its affiliates, who had been indicted on charges including obstruction of justice related to a prosecutorial search and seizure, were convicted in the first instance by the Seoul Central District Court for violations of the Act on External Audit of Stock Companies and the Criminal Act. Employees of Samsung Bioepis Co., Ltd have filed an appeal against this first-instance judgment.

Independent Auditors' Report on Internal Control over Financial Reporting

Based on a report originally issued in Korean

To the Shareholders and Board of Directors of
Samsung Biologics Co., Ltd

Opinion on Internal Control over Financial Reporting

We have audited Samsung Biologics Co., Ltd ("the Company")s' internal control over financial reporting ("ICFR") as of December 31, 2025 based on the criteria established in the Conceptual Framework for Designing and Operating ICFR ("ICFR Design and Operation Framework") issued by the Operating Committee of Internal Control over Financial Reporting in the Republic of Korea (the "ICFR Committee").

In our opinion, the Company maintained, in all material respects, effective internal control over financial reporting as of December 31, 2025, based on ICFR Design and Operation Framework.

We also have audited, in accordance with Korean Standards on Auditing (KSAs), the separate financial statements of the Company, which comprise the separate statement of financial position as of December 31, 2025, the separate statements of comprehensive income, changes in equity and cash flows for the year then ended, and notes, including material accounting policies, and our report dated February 25, 2026 expressed an unmodified opinion on those separate financial statements.

Basis for Opinion on Internal Control over Financial Reporting

We conducted our audit in accordance with KSAs. Our responsibilities under those standards are further described in the *Auditors' Responsibilities for the Audit of the Internal Control over Financial Reporting* section of our report. We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the internal control over financial reporting in Republic of Korea, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of Management and Those Charged with Governance for the Internal Control over Financial Reporting

The Company's management is responsible for designing, operating and maintaining effective internal control over financial reporting and for its assessment of the effectiveness of internal control over financial reporting, included in the accompanying internal control over financial reporting.

Those charged with governance are responsible for overseeing the Company's internal control over financial reporting.



Auditors' Responsibilities for the Audit of the Internal Control over Financial Reporting

Our responsibility is to express an opinion on the Company's internal control over financial reporting based on our audit. We conducted our audit in accordance with KSAs. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether effective internal control over financial reporting was maintained in all material respects.

An audit of internal control over financial reporting includes performing procedures to obtain audit evidence about whether a material weakness exists. The procedures selected depend on the auditor's judgment, including the assessment of the risk that a material weakness exists. The audit involves obtaining an understanding of internal control over financial reporting, and testing and evaluating the design and operating effectiveness of internal controls based on the assessed risks.

Definition and Limitations of Internal Control over Financial Reporting

A company's internal control over financial reporting is implemented by those charged with governance, management, and other employees, and is designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of separate financial statements for external purposes in accordance with Korean International Financial Reporting Standards ("K-IFRS"). A company's internal control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the Company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of separate financial statements in accordance with K-IFRS, and that receipts and expenditures of the Company are being made only in accordance with authorizations of management and directors of the Company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the Company's assets that could have a material effect on the separate financial statements.

Because of its inherent limitations, internal control over financial reporting may not prevent or detect material misstatements in the separate financial statements. Also, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

The engagement partner on the audit resulting in this independent auditors' report is Jae-Kwang Ra.

KPMG Samjory Accounting Corp.

Seoul, Korea
February 25, 2026

This report is effective as of February 25, 2026, the audit report date. Certain subsequent events or circumstances, which may occur between the audit report date and the time of reading this report, could have a material impact on the internal control over financial reporting. Accordingly, the readers of the audit report should understand that the above audit report has not been updated to reflect the impact of such subsequent events or circumstances, if any.

Management's Report on the Effectiveness of Internal Control over Financial Reporting

(English Translation of a Report Originally Issued in Korean)

To the Shareholders, Board of Directors and Audit Committee of
Samsung Biologics Co., Ltd.

We, as the Chief Executive Officer (CEO) and the Internal Control over Financial Reporting Officer of Samsung Biologics Co., Ltd. (the "Company"), assessed the effectiveness of the design and operation of the Company's Internal Control over Financial Reporting (ICFR) for the year ended December 31, 2025.

The Company's management, including ourselves, is responsible for designing and operating ICFR.

We assessed the design and operating effectiveness of ICFR in the prevention and detection of an error or fraud which may cause material misstatements in the preparation and disclosure of reliable financial statements.

We designed and operated ICFR in accordance with *Conceptual Framework for Designing and Operating Internal Control over Financial Reporting* established by the Operating Committee of Internal Control over Financial Reporting in Korea (the ICFR Committee). In addition, in assessing the design and operating effectiveness of the internal control over financial reporting, the 'Standards for Evaluating and Reporting on Internal Control over Financial Reporting' Annex 6 of the Detailed Enforcement Rule of the Regulation on External Audit and Accounting.

Based on the assessment results, we believe that the Company's ICFR, as of December 31, 2025, is designed and operating effectively, in all material respects, in accordance with *Conceptual Framework for Designing and Operating Internal Control over Financial Reporting*.

We certify that this report does not contain any untrue statement of a fact, or omit to state a fact necessary to be presented herein. We also certify that this report does not contain or present any statements which cause material misunderstandings, and we have reviewed and verified this report with sufficient due care.

February 11, 2026

John Rim,
Chief Executive Officer

Seung Ho Ryu,
Internal Control over Financial Reporting Officer

(Attachment)

Entity Level Controls	<Operation of the anti-fraud system> Management operates a whistleblowing system that allows anonymous reporting through the website. After investigating the facts regarding the reported case, the results are reported to the board of directors and the audit committee. Related matters are shared with all executives and employees through public notices.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)
	<Fraud risk assessment> Management updates the identification and assessment of potential fraud risks, taking into account changes in business processes, and appropriately reflects this in controls. When indications of fraud are detected, they are reflected in the internal audit team's work plan and an investigation is carried out, and action plans for improvement of the identified fraud risks and control weaknesses are developed and implemented.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)
	<segregation of duties> Management has established criteria for segregation of duties for incompatible tasks among those related to financial reporting, and internal control group manages the design of the segregation of duties for controls is kept up to date reflecting changes in business processes and can operate appropriately.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)
	<Monitoring> Management has established and applied an internal control management system in order to effectively perform monitoring of the design and operation status of the internal control, and has established and is operating a continuous monitoring system so that unusual signs can be identified through analysis of financial data.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)
Treasury Controls	<Bank account setup/change> The approval authority reviews and approves the reason when setting up or changing bank account.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)
	<Account status management> The person with approval authority reconciles the balance certificates received from the bank with the balance on ERP, then reviews and approves the account status.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)
	<Seal Management> Corporate seals and treasury-related seals and OTPs are subject to restricted physical access, and an approver with authorization reviews the approval request form and grants approval for their use, and the details of use are recorded.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)
	<Restriction on fund disbursement, firm banking> When making payments, the payment can be executed only if the account is registered within the system.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August,

		November, '26 January, etc.)
	<i><Review of fund disbursement></i> The individual with approval authority reviews and approves the payment transfer request details (payment resolution request form), by reviewing whether they are consistent with the total value of daily disbursement funds (payment resolution planning form) and the key matters included in the supporting documents for the request details.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)
	<i><Segregation of duties – Disbursement and Posting></i> The preparer of payment Journal Entries and the approver are segregated, and the approver for payment disbursement and the final approver of payment voucher are segregated.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)
	<i><Daily cashflow management></i> The person with approval authority reviews and approves whether the balance and the details of cash inflows and outflows in the daily cash flow report are consistent with the bank account sheet.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)
	<i><Review of Financing activities></i> The person with approval authority shall review and approve the appropriateness of the key requirements stated in the borrowing and debt issuance request form (such as transaction terms, liquidated damages, total amount of borrowing and amortization schedule, threshold, etc.) and, when a Board of Directors resolution is required, submit the matter to the Board of Directors.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)
	<i><Vendor Master creation/change review></i> The approving authority reviews the key information (business registration number, address, etc.) on the Vendor Master creation/change request form to confirm that it matches the supporting documents, and then approves it.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)
Other business level controls	<i><Customer Master creation and modification review></i> The person with approval authority reviews whether key information (business registration number, address, etc.) on the Customer Master creation/modification request matches the supporting documents, and then approves it.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)
	<i><Finalizing inventory quantities through physical inventory counting></i> The authorized approver reviews and approves the inventory count results through the inventory observation report, including the inventory count list.	No material weakness was identified from the tests performed (Samsung Biologics internal control Group '25 June, August, November, '26 January, etc.)